Abu Dhabi National Oil Company for Distribution PJSC

Independent valuation study · Abu Dhabi Securities Exchange · ticker ADNOCDIST · AED · fuel retail, convenience retail and commercial fuel distribution

Prepared 9 August 2026 · share price AED 4.07 at the close of 7 August 2026 · 12,500 million shares in issue · market capitalisation AED 50,875 million

Read first

What this is. An independent, educational valuation of the largest fuel and convenience retailer in the United Arab Emirates, built from the company's own audited consolidated financial statements for FY2023, FY2024 and FY2025, its reviewed interim accounts for the first and second quarters of 2026, and its own published operating disclosures. It contains no rating, no recommendation and no price target. It expresses value as a RANGE and, separately, as a probability distribution.

The structural fact that governs everything below. Retail fuel prices in the UAE are not set by the retailer. A government Fuel Price Committee fixes them monthly, uniformly across the country and identically for every operator, from average international prices plus operating costs. There is therefore no retail price competition in this market at all. Volume and margin per litre are the levers; price is not one. A reader who values this company as though it sets its own pump prices will value the wrong business.

The one number to hold on to. There is no single number, and that is deliberate. Five readings put fair value between AED 2.71 and AED 5.17 a share. Because the contested judgement below is carried BOTH ways and the two are never averaged, this study publishes TWO weighted centres: AED 4.41 a share on the normalising reading of inventory movements and AED 4.58 on the through-cycle one. The market price is AED 4.07.

The contested judgement, carried both ways. Inventory movements — the profit the company books when the fuel in its tanks is worth more than it paid — were AED 254 million in FY2024, AED 335 million in FY2025 and AED 762 million in the first half of 2026 ALONE, against fuel volume growth in that half of 1.6%. Frame A normalises them to zero from FY2027; Frame B carries the FY2024–FY2025 average of AED 294 million. Both are published side by side in the summary table, in the body of section 1, and in one expert's range. They are NEVER averaged into one number.

A limitation the reader should know about that judgement. Inventory movements are not a line in the audited financial statements. They appear only in management commentary and in the results presentations, and no reconciliation of them to the audited accounts is published. This study therefore treats the figures above as management's own disclosed estimates and carries the judgement two ways rather than picking one. That is a real limitation and it is stated here rather than in a footnote.

Where the disagreement actually lies. Set inventory movements to zero in EVERY forecast year — the harshest reading available — and the cash-flow model still gives AED 4.73 a share against a traded price of AED 4.07. So the disagreement is not about the windfall. It is about the long run, where 75% of the value sits. Section 1.7 solves the market price backwards and states exactly what it embeds.

What this study deliberately does NOT do. It puts no revenue, no cost and no value on the proposed acquisition of Shell Downstream South Africa, announced on 7 July 2026 at approximately USD 1,000 million of enterprise value. The transaction has not closed and remains subject to regulatory approval. It is set out in full in section 5 as the largest single item outside the base case, and the base case excludes it.

Headline

ADNOC Distribution sells about 16 billion litres of fuel a year through 1,045 service stations in three countries, and about AED 1,784 million a year of coffee, groceries and car care alongside it. Revenue was AED 35,897 million in FY2025, gross profit AED 6,946 million and profit attributable to shareholders AED 2,794 million, or AED 0.22 a share. It has grown revenue in each of the three audited years and gross margin in each of them too — from 16.9% to 19.3%.

The question this study asks is not whether the business is sound. It is what the market is assuming about the next twenty years. At AED 4.07 the shares trade on 18.2 times trailing earnings and yield 5.1% on a dividend the board has committed to through 2030. Neither of those looks demanding. But run the cash-flow model backwards from the traded price and it requires a terminal growth rate of -0.26% a year — a business whose volume base is in permanent, if gentle, decline. That is a coherent thing to believe about a fuel retailer in 2026. It is not what this study's own drivers, built segment by segment from the company's disclosed volumes and margins per litre, produce.

Four independent methods put the shares between AED 2.71 and AED 5.17, with weighted centres of AED 4.41 and AED 4.58 on the two framings of the inventory judgement. A fifth reading — capitalising the fixed policy dividend — lands at AED 2.71, 34% BELOW the traded price. So the price sits between the two readings that matter most: above what the fixed dividend promise alone is worth at this cost of equity, and below what the cash the business generates is worth. Section 4 takes that gap apart.

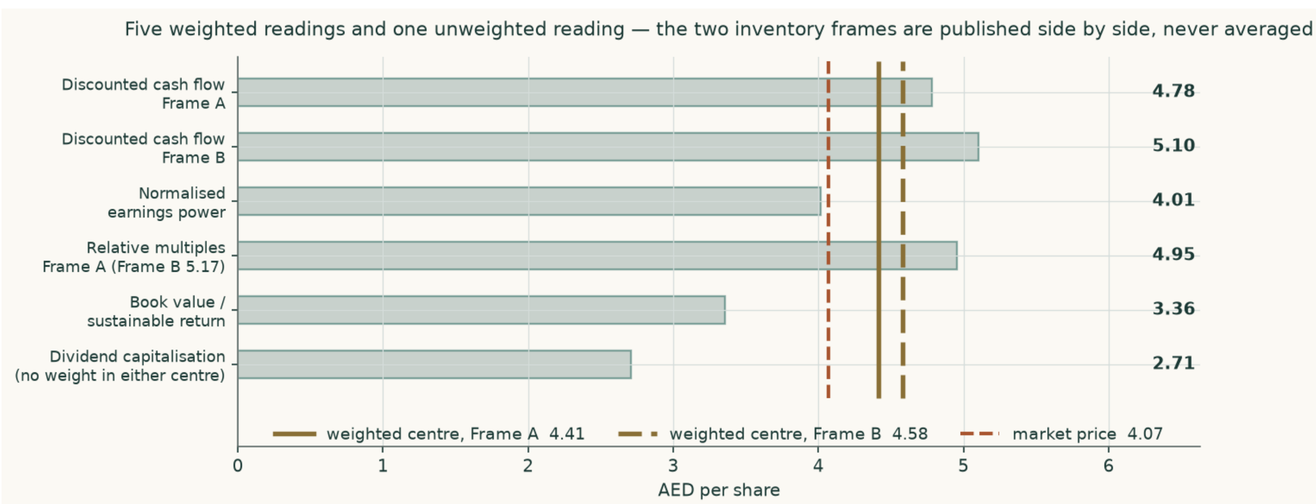

Figure 1 — the field of value. Each method is an independent reading; the spread between them is the uncertainty, and the two centres are the contested judgement carried both ways.

Valuation summary

Reading	AED / share	vs market	Note
Discounted cash flow — Frame A	4.78	18%	terminal value 74.9% of enterprise value — inventory movements normalised to zero from FY2027
Discounted cash flow — Frame B	5.10	25%	terminal value 74.9% of enterprise value — inventory movements carried at the FY2024–FY2025 average
Normalised earnings power	4.01	-1%	structural gross profit only, capitalised at the current cost of capital less long-run growth
Relative multiples — Frame A	4.95	22%	16.3 times the FY2026 forward earnings the model itself produces

Relative multiples — Frame B	5.17	27%	the same multiple on the through-cycle earnings
Book value and sustainable return	3.36	-18%	justified 13.0 times a book value of 0.26 a share
Dividend capitalisation (unweighted)	2.71	-34%	the fixed policy dividend of 0.21 a share grown at 1.5% — a claim on cash paid, not cash earned
WEIGHTED CENTRE — Frame A	**4.41**	**8%**	**cash flow 40%, normalised earnings 25%, relative 20%, book and return 15%**
WEIGHTED CENTRE — Frame B	**4.58**	**13%**	**the same weights on the through-cycle framing. The two centres are NEVER averaged**
Field low to field high	2.71 – 5.17		the spread between the readings IS the uncertainty
Market price	**4.07**		**close of 2026-08-07**

Table 1 — the summary valuation table. Terminal value is stated beside the cash-flow readings rather than buried in the model, because it is high: 74.9% of enterprise value on Frame A and 74.9% on Frame B. A reader who distrusts perpetuities should read section 1.7 before anything else — three-quarters of this valuation is a statement about the years after FY2030.

Key figures	Value	Key figures	Value
Market capitalisation	AED 50,875m	Net debt excluding leases	AED 2,985m
Lease liabilities	AED 1,446m	Enterprise value on the traded price	AED 55,537m
FY2025 revenue	AED 35,897m	FY2025 EBITDA	AED 4,282m
FY2025 attributable profit	AED 2,794m	FY2025 fuel volume	15,710m litres
Trailing price / earnings	18.2x	Trailing enterprise value / EBITDA	13.0x
Cost of equity	7.60%	Discount rate, first forecast year	7.44%
Discount rate, terminal	7.44%	Policy dividend per share	AED 0.21 (5.1% yield)
Return on average equity, FY2025	86.5%	Service stations, mid-2026	1,045

Table 2 — the figures a reader needs before anything else. Enterprise value carries the lease liability and the non-controlling interest, on the same basis the valuation bridge in section 1.1 uses, so the multiple beside it and the bridge are struck on one definition.

Company overview

ADNOC Distribution is the fuel and convenience retailing arm of the Abu Dhabi National Oil Company, listed on the Abu Dhabi Securities Exchange in December 2017 with roughly 23% of its shares in free float and the parent retaining the balance. It runs 1,045 service stations — 569 in the United Arab Emirates, 231 in Saudi Arabia and 245 in Egypt — together with 541 convenience stores and 406 electric-vehicle charging points, all figures as at the end of June 2026.

The business has four disclosed revenue legs and they behave differently enough that blending them would destroy information. Retail fuel is the sale of petrol and diesel at the pump to the motoring public, at a price the company does not set. Non-fuel retail is convenience stores, car care and the property income underneath them — a genuine retail margin, and the only leg where the company has full pricing freedom. Corporate fuel is bulk supply to government, fleet and industrial customers under contract. Aviation is jet fuel into airports. The first two are a retail network business; the second two are a distribution business with different working capital, different margins and different competitive dynamics.

Revenue leg	FY2024	FY2025	Growth	H1-2026	Share of FY2025
Retail fuel	22,223	22,797	2.6%	13,170	63.5%
Non-fuel retail	1,575	1,784	13.2%	927	5.0%
Corporate fuel	10,085	9,572	-5.1%	6,282	26.7%
Aviation fuel	1,570	1,744	11.1%	1,655	4.9%
Total	**35,454**	**35,897**	**1.2%**	**22,035**	**100.0%**

Table 3 — the disclosed revenue split in AED million, each total SUMMED from its own column rather than quoted. The audited FY2025 consolidated revenue of 35,897 reconciles to the 35,897 above; the difference is rounding within the segment disclosure. Note what the first-half column shows: revenue up 23% annualised on volume up 1.6%. That gap is price, and price here is a pass-through the company does not control.

Operating measure	H1-2025	H1-2026	Change
Service stations	939	1,045	11.3%
Retail fuel volume (m litres)	5,324	5,376	1.0%
Commercial fuel volume (m litres)	2,300	2,372	3.1%
of which corporate	2,068	2,015	-2.6%
of which aviation	232	357	53.9%
Fuel transactions (millions)	96.2	100.9	4.9%
Non-fuel transactions (millions)	26.0	26.4	1.5%

Table 4 — the operating measures that drive the model, from the company's own half-year disclosures. Fuel transactions grew 4.9% while non-fuel transactions grew 1.5%: the network is adding fuel customers faster than it is converting them into the shop. Non-fuel transactions per fuel transaction fell from 0.27 to 0.26, which is the single clearest operating weakness in the disclosure.

Two further structural features matter. The supply agreement with the parent sets a minimum margin of roughly 45 fils a litre with no upper limit, and management has described a quarterly, cash-settled mechanism under which the parent absorbs inventory losses on regulated retail stock when prices fall. That is an unusual and genuinely valuable asymmetry: it truncates the downside of the very volatility that produced the FY2026 inventory windfall. Second, the dividend policy commits the company to USD 700 million a year, or AED 0.21 a share, through 2030 — or 92% of net profit if that is higher — and from 2026 it is paid quarterly.

1. Fundamental valuation

This is an operating company, so it is valued as one: free cash flow to the firm over five explicit years discounted at a cost of capital that glides from today's to a normalised one, plus a terminal value; then cross-read against book value and the return earned on it, against multiples, and against normalised earnings power. Four methods, one field. None of them is the answer on its own.

1.1 The cash-flow model

Frame A is shown here in full. It normalises inventory movements to zero from FY2027 onward, carrying only the AED 762 million already realised in the first half of 2026. Frame B differs in that one line and is carried through to its own value per share; nothing else between the two frames differs.

AED million	2026E	2027E	2028E	2029E	2030E
Revenue	43,836	43,215	44,450	45,876	47,321
Gross profit	8,247	7,769	8,076	8,421	8,777
Less cash operating expenses	(2,650)	(2,755)	(2,866)	(2,980)	(3,100)
Add other income	173	178	183	189	194
Less impairment and credit losses	(360)	(220)	(225)	(230)	(235)
EBITDA	**5,410**	**4,972**	**5,168**	**5,399**	**5,637**
EBITDA margin	12.3%	11.5%	11.6%	11.8%	11.9%
Less depreciation and amortisation	(792)	(811)	(825)	(839)	(851)
EBIT	4,618	4,161	4,343	4,560	4,786
Tax rate applied to EBIT	10.17%	10.17%	10.17%	10.17%	10.17%
NOPAT = EBIT x (1 − tax rate)	**4,148**	**3,738**	**3,901**	**4,096**	**4,299**
Add back depreciation and amortisation	792	811	825	839	851
Less capital expenditure	(1,012)	(984)	(986)	(985)	(981)
Less increase in working capital	440	33	50	59	59
Free cash flow to the firm	**4,368**	**3,598**	**3,790**	**4,009**	**4,228**
Discount rate	7.44%	7.44%	7.44%	7.44%	7.44%
Discount factor	0.93	0.87	0.81	0.75	0.70
PRESENT VALUE of free cash flow	**4,066**	**3,117**	**3,056**	**3,009**	**2,953**

Table 5 — the full free-cash-flow waterfall through to present value, Frame A. Working capital is NEGATIVE in this business — customers pay at the pump while suppliers are paid on terms — so growth RELEASES cash rather than absorbing it, and the working-capital line adds to free cash flow in every year. The discount rate rises through the window because the capital structure and the beta are glided toward a normalised terminal position rather than held at today's unusually low reading; section 1.8 sets out both ends.

Enterprise value to equity value	AED million	AED / share
Present value of 5 years of free cash flow	16,201	1.30
Terminal free cash flow	4,102	
Terminal discount rate less growth: 7.44% − 1.5%	5.94%	
Terminal value	69,082	
Present value of the terminal value	48,260	3.86
ENTERPRISE VALUE	**64,461**	**5.16**
Terminal value as a percentage of enterprise value	**74.9%**	
Less: net debt excluding leases	(2,985)	(0.24)
Less: lease liabilities	(1,446)	(0.12)
Less: non-controlling interests	(230)	(0.02)
EQUITY VALUE — Frame A	**59,799**	**4.78**
EQUITY VALUE — Frame B	**63,759**	**5.10**

Table 6 — the enterprise-to-equity bridge. The terminal share is a LINE of the bridge rather than a footnote: 74.9% of enterprise value sits beyond FY2030. Lease liabilities are deducted in the bridge because the corresponding right-of-use depreciation is already inside the depreciation line above; deducting the lease and charging its depreciation would double-count, so the lease is deducted and the rent is NOT added back — section 1.8 prices that choice.

The two frames side by side	Frame A	Frame B	Difference
Inventory movement carried, FY2027 onward	0	295	295
FY2026 EBITDA (AED m)	5,410	5,598	188
FY2030 EBITDA (AED m)	5,637	5,932	295
Present value of five years (AED m)	16,201	17,186	984
Present value of the terminal (AED m)	48,260	51,235	2,975
Terminal share of enterprise value	74.9%	74.9%	0.0%
Value per share (AED)	**4.78**	**5.10**	**0.32**

Table 7 — the contested judgement isolated. Everything else in the two models is identical, so the AED 0.32 a share between them is the inventory judgement and nothing else. Note that the difference is overwhelmingly a TERMINAL effect: a permanently higher gross profit compounds into the perpetuity, which is precisely why the two frames must not be averaged.

1.2 Book value and sustainable return

Equity attributable to shareholders was AED 3,230 million at the year end — AED 0.26 a share, against a traded price of AED 4.07. That is roughly 16 times book, which looks extraordinary until the return is put beside it. Return on equity attributable to shareholders was 74.9% in FY2023, 80.9% in FY2024 and 86.5% in FY2025 — a three-year mean of 80.8%, which is the sustainable return used here, read off the company's own record rather than chosen.

A business earning 80.8% on equity while its cost of equity is 7.60% is worth a large multiple of its book. The multiple that relationship justifies is (return less growth) divided by (cost of equity less growth): (80.8% − 1.5%) ÷ (7.60% − 1.5%) = 13.0 times book, or AED 3.36 a share.

Book value and sustainable return	Value
Equity attributable to shareholders (AED m)	3,230
Shares in issue (millions)	12,500
Book value per share (AED)	0.26
Return on equity, FY2023	74.9%
Return on equity, FY2024	80.9%
Return on equity, FY2025	86.5%
Sustainable return — the three-year mean	80.8%
Cost of equity	7.60%
Long-run growth	1.5%
Justified multiple of book	13.0x
Value per share (AED)	**3.36**

Table 8 — the book-value reading. The reason this lens produces a sane answer on a 16-times-book share is that the denominator is small by design: the company has paid out substantially all of its earnings every year since listing, so book equity does not accumulate. Return on equity here measures return on a deliberately thin equity base and should not be read as an operating margin.

A caution on this lens, stated plainly. Return on capital employed — a measure that does not flatter a thin equity base — was 49.0% in FY2023, 52.6% in FY2024 and 54.4% in FY2025. That is the more honest read of how good this business is, and it is still exceptional. But a payout policy is a choice, not a law: if the board ever retained earnings to fund the network, book equity would rise and this lens would mechanically produce a higher number for an unchanged business. It carries the lowest weight of the four for that reason.

1.3 Relative multiples

There is no clean listed comparable for this company. The closest is Aldrees Petroleum and Transport Services in Saudi Arabia at 12.9 times enterprise value to EBITDA; the international convenience-retail names run from about 6.8 times at Ultrapar in Brazil to 22.4 times at Casey's General Stores in the United States. That is a spread of more than three to one, and it is a spread across fundamentally different fuel-pricing regimes: a company that sets its own pump prices and one that receives a committee-set margin are not the same instrument. Applying a peer median here would import someone else's regulatory regime into this valuation.

This study therefore anchors the relative lens on what the company's own economics justify rather than on what other companies trade at. A business with the return, the growth and the cost of equity established above supports about 16.3 times forward earnings. On the model's own FY2026 earnings of AED 0.30 a share on Frame A and AED 0.32 on Frame B, that gives AED 4.95 and AED 5.17. The peer observations are reported below as a cross-check on that reference, never as its source.

Multiple reference	Multiple	Basis	Role in this study
ADNOC Distribution today	18.2x	trailing price / earnings	computed from audited FY2025 earnings per share and the traded price
ADNOC Distribution, own three-year mean	19.6x	trailing price / earnings	the traded price against each audited year's own earnings — computed entirely from primary material
ADNOC Distribution today	13.0x	enterprise value / EBITDA	the basis on which the peers below are quoted
Aldrees Petroleum and Transport Services	12.9x	enterprise value / EBITDA	closest regional comparable — cross-check only
Saudi Automotive Services Company	12.3x	enterprise value / EBITDA	cross-check only
Alimentation Couche-Tard	10.7x	enterprise value / EBITDA	cross-check only
Casey's General Stores	22.4x	enterprise value / EBITDA	cross-check only — the highest of the set
Murphy USA	10.0x	enterprise value / EBITDA	cross-check only
OMV Petrom	9.9x	enterprise value / EBITDA	cross-check only
Vibra Energia	7.7x	enterprise value / EBITDA	cross-check only
Ultrapar Participacoes	6.8x	enterprise value / EBITDA	cross-check only — the lowest of the set
REFERENCE USED	**16.3x**	**forward price / earnings**	**what this company's own return, growth and cost of equity justify — NOT a peer median**

Table 9 — the multiple evidence. The company trades toward the upper end of the international set on enterprise value to EBITDA and slightly below its closest regional comparable. That is useful context and it is NOT the source of the reference multiple, which is built from the company's own economics.

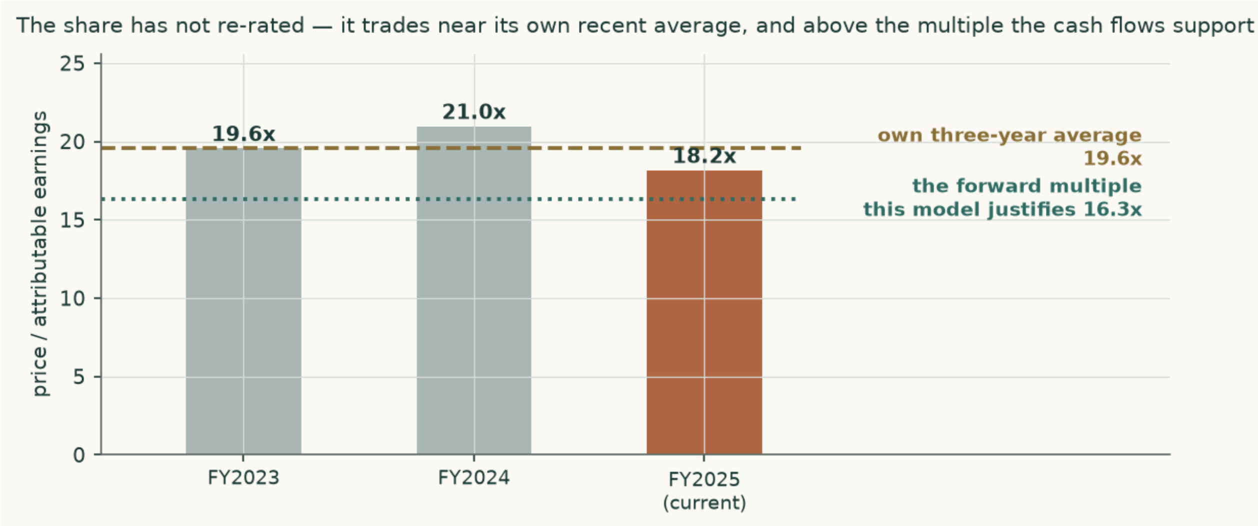

Figure 2 — the multiple evidence. The reference multiple used is derived from this company's own return and cost of equity, not from the peer distribution shown beside it.

1.4 Normalised earnings power

The fourth reading asks a deliberately narrow question: if this company never grew again, what would it be worth? It takes structural gross profit — volume times margin per litre, with every inventory movement stripped out — less cash operating costs, plus other income, less the impairment and credit-loss charge, at the FY2026 run rate. That gives EBITDA of AED 4,648 million and EBIT of AED 3,856 million. Taxed at the statutory 9% it is AED 3,464 million of normalised operating profit after tax.

Normalised earnings power	AED million
Structural gross profit, FY2026 run rate	7,485
Less cash operating expenses	(2,650)
Add other income	173
Less impairment and credit losses	(360)
NORMALISED EBITDA	**4,648**
Less depreciation and amortisation	(792)
Normalised EBIT	3,856
Tax at the statutory rate of 9%	(392)
Normalised operating profit after tax	3,464
Capitalised at 7.44% less 1.5% growth	54,836
Less net debt, leases and minorities	(4,662)
Equity value	50,174
VALUE PER SHARE (AED)	**4.01**

Table 10 — normalised earnings power. This reading is capitalised at TODAY's cost of capital of 7.44% rather than the terminal 7.44% the cash-flow model glides to, which is why it lands above the Frame A cash-flow reading even though it charges the same reinvestment for growth that the cash-flow model does. The two disagreements — no growth, but a lower discount rate — very nearly cancel.

1.5 Synthesis — four methods, one field

The four methods answer different questions, so they are weighted by how much of the question each one actually answers for a regulated-margin retailer with a long asset life. The cash-flow model carries the most weight because volume and margin per litre are the only two things that matter here and it is the only method that forecasts them explicitly. Book value carries the least, for the reason given in section 1.2.

Method	Frame A (AED)	Frame B (AED)	Weight	What it answers
Discounted cash flow	4.78	5.10	40%	what the volume and margin path is worth, discounted
Normalised earnings power	4.01	4.01	25%	what it is worth on structural earnings with growth paid for
Relative multiples	4.95	5.17	20%	what its own economics justify paying for its earnings
Book value and sustainable return	3.36	3.36	15%	what the capital in the business earns on itself
WEIGHTED CENTRE	**4.41**	**4.58**	**100%**	**never averaged across the two frames**
Dividend capitalisation	2.71	2.71	—	carried unweighted — it values the policy, not the business

Table 11 — the four methods and their weights. The field runs from AED 3.36 to AED 5.17 across the individual readings; the published low and high are the actual minimum and maximum of the readings, AED 2.71 to AED 5.17 widen that by a further margin either side of the centres, because a field built only from the points a model happens to produce understates the uncertainty in the model itself.

1.6 Drivers — every segment grown on its own driver

No segment is grown on a blended rate. Each disclosed leg is built from its own physical driver: litres times margin per litre for the two fuel legs, and revenue times gross margin for non-fuel retail, which is a shop and not a pump. Revenue per litre is then an OUTPUT of the committee-set price path, and gross margin is an OUTPUT of the two together. Margins are outputs of volume and margin per litre, and where a step in a margin per litre is carried it is disclosed and priced rather than asserted.

Volume and margin build	FY2025	2026E	2027E	2028E	2029E	2030E
Retail fuel volume (m litres)	11,042	10,911	11,117	11,330	11,609	11,898
growth		1.2%	2.0%	1.8%	1.5%	1.2%
Commercial fuel volume (m litres)	4,668	4,744	4,793	4,855	4,916	4,973
growth		3.0%	2.5%	2.0%	1.8%	1.5%
Retail margin per litre (fils)	36.0	366.9	374.3	381.8	389.4	397.2
Commercial margin per litre (fils)	43.6	510.5	520.7	531.1	541.8	552.6
Retail price per litre (AED)	2.06	2.42	2.34	2.36	2.39	2.41
Commercial price per litre (AED)	2.42	3.28	3.17	3.21	3.25	3.28

Table 12 — the physical build. Retail margin per litre begins at 36.0 fils in FY2025 — comfortably above the 45-fils floor the parent supply agreement guarantees — and is grown at the disclosed rate rather than assumed to expand. The price per litre falls between FY2026 and FY2027 because the crude path underlying the committee's formula is forecast to fall; that is a pass-through and it moves revenue without moving gross profit, which is exactly why margin per litre and not price is the driver.

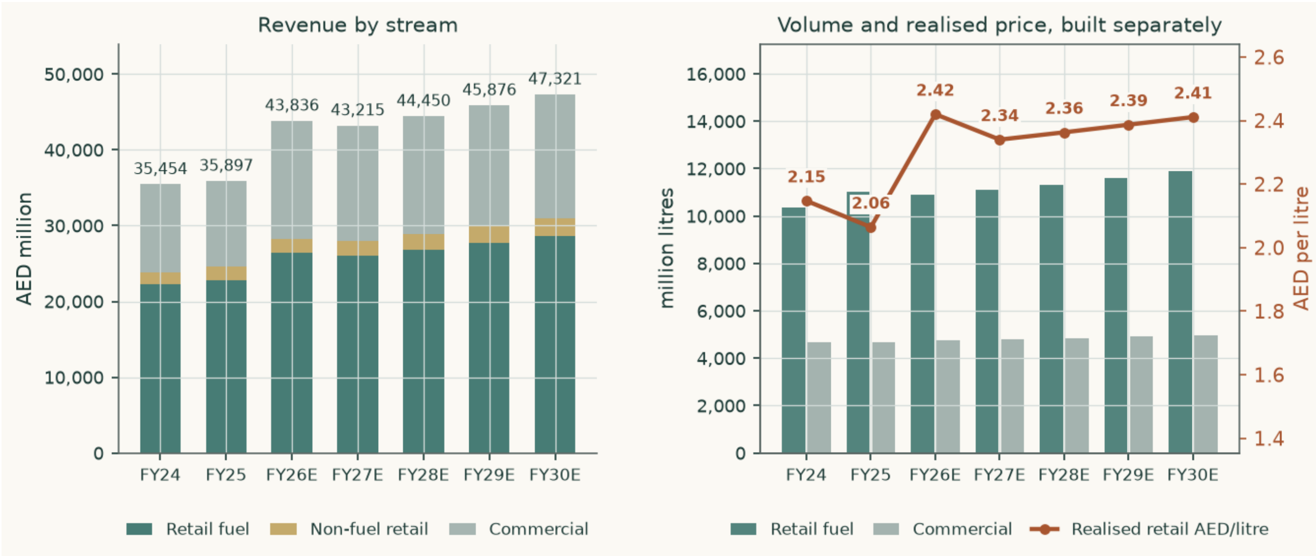

Figure 3 — the volume and price build. Revenue is the product of the two; only one of them is within the company's control.

Gross profit build (AED m)	2026E	2027E	2028E	2029E	2030E
Retail fuel — volume x margin per litre	4,004	4,161	4,325	4,521	4,726
Commercial fuel — volume x margin per litre	2,422	2,496	2,579	2,663	2,748
Non-fuel retail — revenue x gross margin	1,060	1,113	1,171	1,237	1,303
STRUCTURAL GROSS PROFIT	**7,485**	**7,769**	**8,076**	**8,421**	**8,777**
Inventory movement — Frame A	762	0	0	0	0
Gross profit — Frame A	8,247	7,769	8,076	8,421	8,777
Gross margin — Frame A (OUTPUT)	18.8%	18.0%	18.2%	18.4%	18.5%
Inventory movement — Frame B	950	295	295	295	295
Gross profit — Frame B	8,435	8,064	8,371	8,716	9,072
Gross margin — Frame B (OUTPUT)	19.2%	18.7%	18.8%	19.0%	19.2%

Table 13 — gross profit as an output, never an input. Gross margin is shown LAST because it is computed from the lines above it: it is not a driver, and no margin assumption appears anywhere in this model. Non-fuel retail is the only leg built on a percentage margin, at 56%, and that percentage is the company's own disclosed non-fuel gross margin of 55.2% in FY2025 and 56.3% in the first half of 2026 — a shop margin, sourced, not chosen.

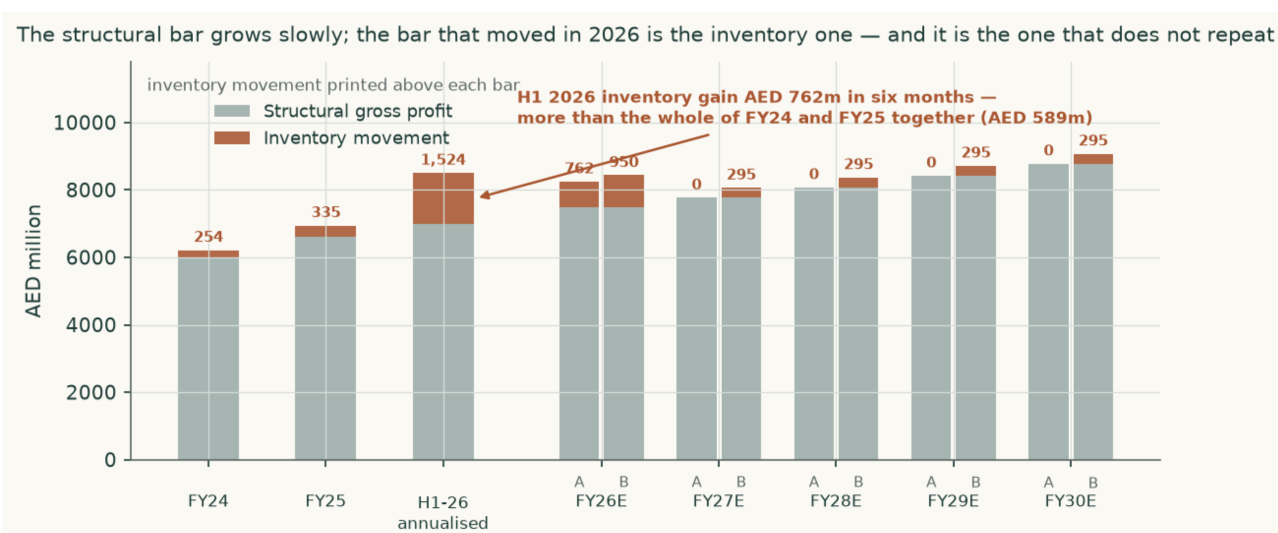

Figure 4 — the bridge from structural gross profit to reported gross profit. The inventory movement is the whole of the difference, and it is carried two ways.

The cost stack is escalated by driver class, not by one blended index. The fuel itself is 82.9% of the cost base and is a globally traded input: it escalates on its own crude-linked realised-price path through the committee's formula, never on a domestic inflation series. Staff, utilities, repairs and marketing are 6.0% of the cost base, are genuinely domestic services, and escalate at 4% a year against a UAE consumer price forecast of 1.8%. Applying one index across both would have made the whole forecast margin path an artefact of the index chosen.

Driver	Value	Where it enters the model	Evidence
Brent crude spot price	83.5 USD/bbl	the base of the crude path underlying the committee price formula	Trading Economics — Brent Crude Oil
EIA Short-Term Energy Outlook — Brent forecast 2026-2027	65.0 USD/bbl (2027 annual…	the forward crude path, and therefore revenue per litre from FY2027	US EIA July 2026 Short-Term Energy Outlook…
Global EV penetration trajectory	28.0 % of global new car…	the long-run ceiling on fuel volume growth and the terminal growth rate	IEA Global EV Outlook 2026
Non-fuel income share at global fuel-retail peers	—	the weight placed on the non-fuel leg and its long-run margin	Raymond James Convenience Store Insight;…
US Federal Reserve policy rate — drives UAE rates via the…	3.50-3.75 % (target range)	the risk-free rate through the currency peg	Federal Reserve Board — FOMC statement, 29…
UAE real GDP growth 2026-2027 forecast, non-oil specifically	5.0 % real GDP growth…	retail and commercial volume growth	IMF 2025 Article IV; CBUAE Quarterly…
UAE CPI inflation 2025 actual and 2026-2027 forecast	1.8 % CPI 2026 forecast…	the escalator on the domestic cash operating cost line only	Central Bank of the UAE — Quarterly Economic…
UAE population growth and vehicle parc / registrations	4.6 million registered…	retail fuel volume growth — the vehicle parc is the physical driver	Khaleej Times / The Filipino Times (citing…
UAE Central Bank Base Rate	3.6 %	the floating-rate basis in the cost of debt	Central Bank of the UAE — 'CBUAE Maintains…
Abu Dhabi sovereign USD bond — 10-year point	4.7 % yield at issue,…	the constructed long-tenor point in the cost of capital	Zawya — 'Abu Dhabi raises $3bln as investor…
UAE sovereign credit rating — Moody's	Aa2 / stable rating / outlook	the sovereign default spread that normalises the risk-free rate	The National — 'UAE retains high Moody's…
UAE retail fuel price path — 2024 and 2025 (prior-period…	—	the historical price-per-litre base the forecast path is anchored on	DubaiWheels UAE Petrol Price History…
UAE fuel retail market structure and shares	85.0 % of UAE retail…	the competitive assumption — a stable three-way market share	Mordor Intelligence — United Arab Emirates…
Saudi Arabia fuel retail — licensing and consolidation…	—	the Saudi network growth assumption	Saudi Press Agency; Zawya — 'Saudi: Energy…
ADNOC Distribution Saudi Arabia entry, network and…	231 ADNOC Distribution…	the Saudi station count in the network build	ADNOC Distribution H1-2026 earnings call,…
Egypt fuel retail — TotalEnergies Marketing Egypt JV and…	50.0 % stake in…	the Egyptian leg and its currency exposure	ADNOC Distribution — completion announcement…
EV charging in the UAE — policy targets and adoption	10.0 % of vehicles on the…	the domestic electric-vehicle displacement assumption in terminal growth	The Official Platform of the UAE Government…
Peer multiple — Aldrees Petroleum and Transport Services…	12.9 x EV/EBITDA	The most directly comparable listed peer: GCC fuel retail, same regulated-price…	StockAnalysis.com — Aldrees Petroleum and…
ADNOC Distribution ownership — free float and parent stake	23.0 % free float…	the free float, and therefore the market-value equity weight	ADNOC Distribution Investor Relations; ADX…
ADNOC Distribution non-fuel retail and property (CONTEXT…	140.0 USD million H1-2026…	the non-fuel gross margin	ADNOC Distribution H1-2026 earnings call,…
ADNOC Distribution dividends declared 2025-2026	5.1 fils per share per…	the dividend per share used in the dividend-capitalisation reading	ADNOC Distribution — H1-2026 results…

ADNOC Distribution guidance — capex, network and 2028-2030…	250-300 USD million FY2026…	capital expenditure and the station-count path	ADNOC Distribution H1-2026 earnings call and…
ADNOC Distribution debt and cost of debt evidence…	4.8 % profit rate, ADNOC…	the cost-of-debt cross-check	ADNOC — 'ADNOC Successfully Completes $1.5…
FTSE ADX General Index — the published index of the…	0.6 beta against the…	Sets the beta, and through it the cost of equity, the cost of capital and the terminal…	FTSE ADX General Index daily history

Table 14 — every external driver in the model, with the evidence behind it and the place it enters. 24 of the 56 items in the research record are classified as drivers: they change a number in the model rather than merely informing the narrative. Appendix B lists the full record including the items that changed nothing.

1.7 The crux

Here is the whole study in one calculation. Take the cash-flow model exactly as built, hold every driver, and solve for the terminal growth rate at which it returns the traded price of AED 4.07. The answer is -0.26% — a NEGATIVE number. Against the model's 1.5%, the market is not pricing a slower-growing fuel retailer. It is pricing a business whose volume base is in permanent, if gentle, decline.

Solving the market price backwards	The model	Implied by the price
Terminal growth rate	1.50%	-0.26%
Terminal discount rate	7.44%	8.53%
Beta	0.65	0.86
Value per share (AED)	**4.78**	**4.07**

Table 15 — the reverse valuation, run three ways. Each column solves for ONE input holding the others at the model's values, so the three are alternative explanations of the same gap rather than a combined scenario. A reader who believes the implied beta of 0.86 — close to the market average — is the right one has a complete and internally consistent case for the traded price without needing the growth story at all.

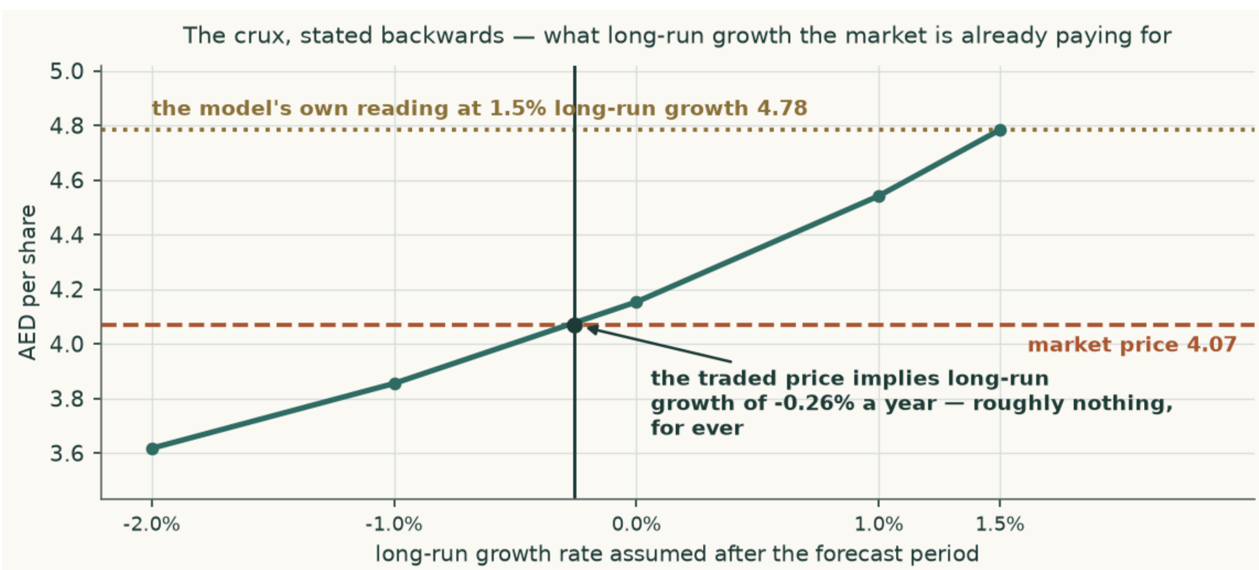

Figure 5 — the crux. Value per share against terminal growth; the traded price crosses the curve below zero.

Now put that implied growth rate into units a reader can actually observe, because a terminal growth rate is not something anyone can check.

What the implied growth rate means in observable units	Value
FY2025 retail fuel volume	11,042m litres

Implied perpetual rate of change in the volume base	-0.26%
Real-terms shortfall against a 4% cost escalator, in litres	470m litres
Litres per fuel transaction, first half of 2026	53.3 litres
Equivalent fuel transactions given up, per year	8.8m
against fuel transactions in the first half of 2026	100.9m
so, as a share of the half-year transaction base	8.74%
UAE registered vehicles, mid-2025	4.6 million
growing at	+9.35% y/y
UAE policy target for electric vehicles on the road by 2030	10%
Global electric share of new car sales, 2026 forecast	28%

Table 16 — the crux in real units. For the market to be right, this network must give up roughly 8.8 million fuel transactions a year in real terms, every year, in perpetuity — and it must do so while the UAE vehicle parc is growing at +9.35% y/y. That combination requires electric displacement to outrun parc growth permanently from here. It is possible. It is a proposition a reader can watch, quarter by quarter, in the company's own volume disclosure.

Two further readings of the same gap, both published because either could be the true explanation. First, sensitivity to volume growth itself: shifting the volume path down by one percentage point a year in every forecast year takes the value from AED 4.86 to AED 4.50, which does NOT reach the traded price. Volume alone cannot explain the gap inside the explicit window — it has to be the terminal. Second, sensitivity to margin per litre: a 10% cut to the margin growth path across both fuel legs takes it to AED 3.98. Between them, the observable drivers move the answer by less than the terminal assumption does — which is the honest statement of where the risk in this valuation actually lives.

The terminal growth rate, sensitised	Value per share (AED)	vs market price
-2.0%	3.62	-11%
-1.0%	3.85	-5%
0.0%	4.15	2%
1.0%	4.54	12%
1.5%	4.78	18%

Table 17 — the whole curve, published rather than its comfortable half. The traded price of AED 4.07 sits between the -1.0% and 0.0% rows.

And the same discipline applied to the contested judgement. Carrying inventory movements at the FY2024–FY2025 average of AED 294 million in perpetuity is worth AED 0.30 a share. Carrying the first-half 2026 rate of AED 762 million in perpetuity — which nobody should believe, and which is shown only to bound the question — is worth AED 0.79 a share. Setting them to zero in every year including FY2026 gives AED 4.73, still above the traded price. The windfall is not the disagreement.

Inventory movement carried in perpetuity (AED m)	Value per share (AED)	vs market price
0	4.78	18%
150	4.94	21%
295	5.09	25%
500	5.30	30%
762	5.57	37%

Table 18 — the contested judgement bounded at both ends. Frame A is the first row; Frame B is the 294 row.

1.8 Macro and country — the cost of capital

The risk-free rate is the UAE federal dirham Treasury Bond, taken from the 2026-07-30 auction at 4.48% on a tenor of about four and a half years. It is then NORMALISED by the sovereign's own default spread of 0.04% to 4.44%, because country risk must enter the cost of capital exactly once. Adding a country-risk-loaded equity premium on top of a raw local yield would charge the same sovereign risk twice.

A tenor gap is disclosed rather than papered over: the UAE has issued no ten-year dirham federal bond, so the longest observable dirham federal point is the four-and-a-half-year one used above. A ten-year point can be CONSTRUCTED — the Abu Dhabi sovereign's dollar spread over the corresponding US Treasury, applied to today's ten-year — but it would be a construction and not an observation, and this study uses the observed point and says so. The dirham is pegged to the dollar, so the US policy rate at 3.50-3.75% transmits directly; the local base rate is 3.65%.

Cost of capital, built from the bottom up	Value	Source or construction
Observed dirham federal Treasury Bond yield, ~4.5-year tenor	4.48%	July 2026 auction, 2026-07-30
Less: the sovereign's OWN adjusted default spread	(0.04%)	UAE row, rated Aa2 / stable
NORMALISED RISK-FREE RATE	**4.44%**	**country risk removed here so it can enter once, inside the premium below**
Mature-market equity risk premium	4.23%	the source file's own implied mature-market premium
Country risk premium for the UAE	0.64%	the same file's UAE row
TOTAL EQUITY RISK PREMIUM	**4.87%**	**rating basis**
Beta	0.65	5-year weekly (W-FRI) regression of this share against its own local index
COST OF EQUITY	**7.60%**	**4.44% + 0.65 x 4.87%**
Pre-tax cost of debt, marginal and term-matched	5.08%	the sovereign yield plus the company's own disclosed dirham credit margin
After-tax cost of debt	4.62%	at the effective rate of 10.17%
Weight of equity — MARKET value	94.5%	AED 50,875m of market capitalisation
Weight of debt	5.5%	AED 2,985m of net debt
WEIGHTED AVERAGE COST OF CAPITAL, today	**7.44%**	
Terminal beta	0.65	glided toward the market as the regulated-margin advantage is assumed to erode
Terminal weight of debt	6%	a normalised structure rather than today's near-ungeared one
TERMINAL WEIGHTED AVERAGE COST OF CAPITAL	**7.44%**	**the rate that discounts 74.9% of the value**

Table 19 — the cost of capital. The discount rate is not held at 7.44%: it glides linearly to 7.44% across the five explicit years, because today's reading rests on a beta of 0.65 and a debt weight of 5.5% that this study does not believe are permanent. Holding the first-year rate through the terminal would ADD materially to the valuation, and would be the single easiest way to make this study say what a reader might want it to say.

The beta is the company's own, regressed against its own local index. On 5 years of weekly (W-FRI) returns against the FTSE ADX General Index (published, includes the subject), it is 0.65 with a standard error of 0.09 and an r-squared of 17.9% over 257 observations — a 90% interval of 0.51 to 0.79. The regression EXCLUDES the subject from the index, because a large constituent regressed against an index containing itself is mechanically pulled toward one. Including it gives 0.65; regressing against the broader all-UAE composite gives 0.51. All three are published. A beta of 0.65 is a real economic statement about this share: a committee-set margin with a parental floor under it genuinely is less exposed to the local market cycle than the average listed company.

Cost of debt — the evidence	Rate	Basis
Company's own dirham facility margin	+0.60%	over the local interbank rate, as disclosed
Company's own dollar facility margin	+0.85%	over the dollar overnight financing rate, as disclosed
Local central bank base rate	3.65%	held at the 2026-07-29 meeting
Floating-rate basis today	4.25%	base rate plus the dirham margin — what the company pays right now
Sovereign dirham yield, term-matched	4.48%	the same four-and-a-half-year federal point used above
MARGINAL, TERM-MATCHED COST OF DEBT USED	**5.08%**	**sovereign yield plus the company's own dirham margin**
the same construction on the dollar margin	5.33%	published as a cross-check, not used
Parent group's own long-dated dollar issue	4.75%	ten-year sukuk, an independent cross-check on the level

Table 20 — the cost-of-debt evidence. The rate used is MARGINAL and forward-looking, not the average rate the company happens to be paying on its existing book. It must sit ABOVE the sovereign — a corporate cannot borrow below its own government in the same currency — and it does: 5.08% against 4.48%. Note that the floating basis today, 4.25%, is BELOW the term-matched construction, because the short end of the curve is below the four-and-a-half-year point. Using the floating rate would understate the cost of financing a long-lived asset base, so it is shown and not used.

Three constructions in this section are genuinely contested. Each is priced rather than merely named, because naming a judgement without pricing it tells a reader nothing about whether it matters.

The contested construction	The choice made	What it is worth
The 15% minimum top-up tax	the model taxes cash flows at the effective rate the audited FY2025 reconciliation actually shows, 10.17%, NOT at 15%. The company is plainly within the size threshold for the minimum tax regime, but its own audited reconciliation does not apply it, and this study follows the audited accounts rather than the reader's expectation of them	AED 0.28 a share, or 5.8% of the Frame A value. At 15% the reading falls from AED 4.78 to AED 4.51. This is the single largest identifiable downside construction in the study and it is published as a line, not a footnote
Leases in the bridge	the lease liability is deducted in the enterprise-to-equity bridge and the right-of-use depreciation stays inside the depreciation charge. The alternative — treating leases as operating and adding the rent back to EBITDA — is internally consistent too, but mixing the two double-counts	AED 1,446 million of deduction, or AED 0.12 a share. Enterprise value multiples quoted anywhere in this study carry the lease on the same basis
The equity risk premium basis	the source file publishes a rating-based row for the UAE and NO credit-default-swap-based row, so only the rating basis can be published here. Where two bases exist this study publishes both; here one does not exist, and inventing a swap-based figure from a third-party quote that CONTRADICTS the original file would be worse than disclosing the gap	the rating basis gives a total premium of 4.87%. A reader who prefers a higher premium can read the beta row of the sensitivity table: a beta of 0.80 — arithmetically the same effect as a premium about forty per cent higher — gives AED 4.25

Table 21 — every contested construction, priced. A fourth is disclosed without a price because it cannot be priced from the original source: the country-risk file used here carries a January 2026 vintage, a mid-year update is known to exist, and the UAE row of that update could not be verified from the original file. The January row is used and the vintage is stated.

1.9 Sensitivity

Every driver moved one at a time, holding the rest. The order below is the order of importance, and it is not the order most readers would guess.

Driver	Low case	Base	High case	Range in value per share
Beta	0.45 → 5.72	0.65	1.00 → 3.69	2.03
Margin-per-litre growth path	-10% → 3.98	0%	10% → 5.59	1.61
Terminal cost of capital	6.44% → 5.71	7.44%	8.44% → 4.12	1.59
Terminal growth rate	0.5% → 4.33	1.5%	2.5% → 5.41	1.08
Volume growth path	-1.0% → 4.50	—	1.0% → 5.24	0.73
Inventory movement carried	0 → 4.78	0	600 → 5.40	0.62
Effective tax rate	9.00% → 4.85	10.17%	18.00% → 4.33	0.52
Capital expenditure	-20% → 4.85	0%	20% → 4.72	0.13

Table 22 — every driver, ranked by how much it moves the answer. The top three are all statements about the terminal, not about the business. That is the structural fact a reader should take from this study: at 74.9% terminal weight, this is mostly a valuation of the discount rate and the long-run growth rate.

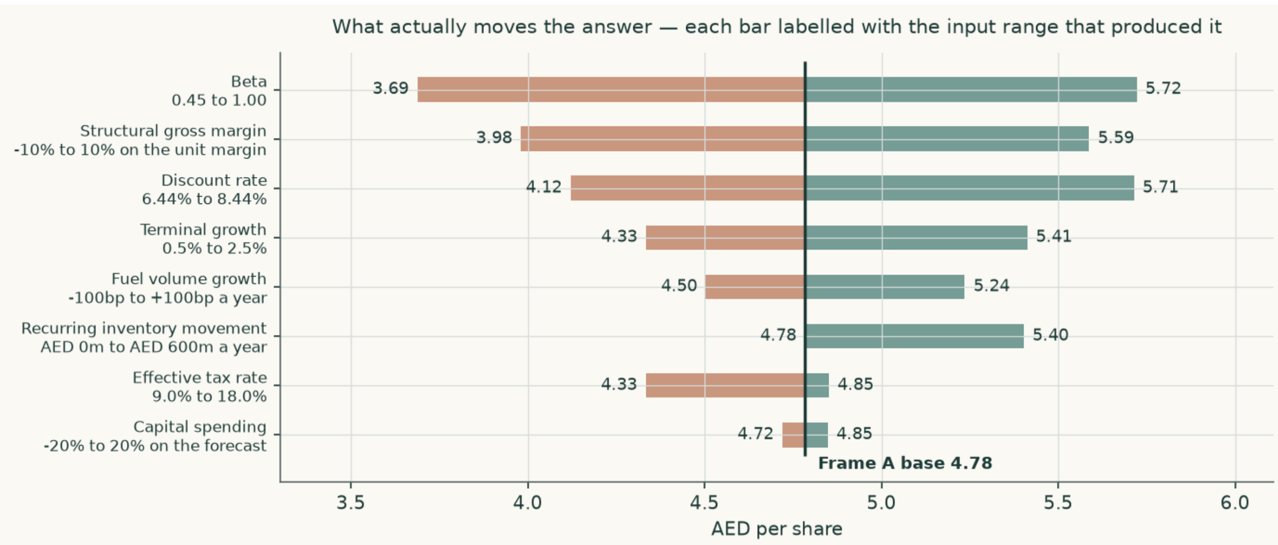

Figure 6 — the sensitivity ranking. The three widest bars are all terminal assumptions.

Terminal cost of capital ↓ / growth →	0.5%	1.0%	1.5%	2.0%	2.5%
6.44%	5.04	5.35	5.71	6.16	6.73
6.94%	4.66	4.91	5.21	5.56	6.00
7.44%	4.33	4.54	4.78	5.07	5.41
7.94%	4.05	4.23	4.43	4.66	4.94
8.44%	3.81	3.95	4.12	4.31	4.54

Table 23 — value per share across the terminal cost of capital and the terminal growth rate, the two inputs the sensitivity ranking says matter most. The full grid runs AED 3.81 to AED 6.73 — and the WHOLE of it is published, including the corner that sits below the traded price. The model's own combination, 7.44% and 1.5%, is the centre cell.

2. Technical and price structure

The price closed 4.07 above a rising 20-day (4.00), a rising 50-day (3.94) and a rising 200-day (3.87). Momentum is firm: RSI(14) is ~61 and the daily ATR near 0.06 (~1.4%) points to an orderly tape. MACD (12·26·9) is positive and rising (+0.04 / +0.03 / +0.01). The 50-day crossed above the 200-day 23 sessions ago — a fresh golden-cross, a momentum-regime change rather than noise inside an intact trend. Over the last year it has ranged 3.47–4.18; the last close sits 3% below that high and 17% above that low.

Level	AED	Distance from the close	Structure behind it
Third resistance	4.40	8.1%	round level, 0 prior touches
Second resistance	4.30	5.7%	round level, 0 prior touches
Nearest resistance	4.15	2.0%	swing level, 2 prior touches
LAST CLOSE	**4.07**	**—**	**2026-08-07**
Nearest support	4.00	-1.7%	swing level, 6 prior touches
Second support	3.77	-7.4%	swing level, 16 prior touches
Third support	3.65	-10.3%	swing level, 22 prior touches

Table 24 — support and resistance, computed from recency-weighted pivot clusters on the same cleaned price history the probability map in section 3 uses. The asymmetry is the point: the supports below have been tested 44 times between them, while the resistances above have barely been visited. This share has spent most of the last year building a floor, not a ceiling.

Momentum and range	Reading
20-day moving average	4.00, rising
50-day moving average	3.94, rising
200-day moving average	3.87, rising
Relative strength index (14)	61.1
Average true range (14)	0.06 (1.4% of the close)
Moving-average convergence / divergence	0.04 against a signal of 0.03
50-day against 200-day	golden crossover, 23 sessions ago
52-week range	3.47 – 4.18
Position in that range	2.6% below the high, 17.3% above the low

Table 25 — the computed momentum and range readings, from 2,162 sessions of cleaned daily history.

A daily close back above 4.15 would clear the nearest resistance and open the 4.40 zone. A close below 4.00 would break the nearest support and open the 3.65 zone.

One structural observation the indicators do not carry. The daily average true range is 1.4% of the price. That is an extremely quiet tape for an emerging-market listing, and it is the same fact that drives the calibration discussion in the next section: this share moves less than almost anything else on its exchange, and a probability range built across the whole exchange will therefore be too wide for it.

3. Probabilistic price map

The valuation above says where the shares should be. This section says something narrower and more testable: given how this share has actually behaved, where might the price be in one month and in three? It is a statement about the distribution of outcomes, not a forecast of one, and it is entirely independent of the fundamental work above.

Percentile of the simulated distribution	One month	Three months
5th percentile	3.69	3.39

25th percentile	3.92	3.79
50th percentile	4.07	4.06
75th percentile	4.22	4.35
95th percentile	4.47	4.86
Width of the 90% range	21%	43%
Check date	**2026-09-07**	**2026-11-09**

Table 26 — the percentile map, in AED. The anchor is the AED 4.07 close of 2026-08-07. The simulation is fed 21.6% annualised volatility at one month and 22.7% at three, and carries a carry drift built from a risk-free rate of 3.65% against a dividend yield of 5.11% — which is why the median sits marginally BELOW the anchor at both horizons.

Probability	One month	Three months
Finishes above the anchor	49.1%	48.9%
Finishes 10% or more above	4.7%	17.2%
Finishes 10% or more below	4.0%	16.1%
TOUCHES 10% above at any point	7.7%	31.5%
TOUCHES 10% below at any point	6.1%	28.8%

Table 27 — the level-touch ladder. Touching a level at any point inside the window is far more likely than finishing beyond it: at three months the chance of touching a price ten per cent higher is 1.8 times the chance of closing there. A reader with a stop-loss experiences the touch probability; a reader holding to the check date experiences the other one.

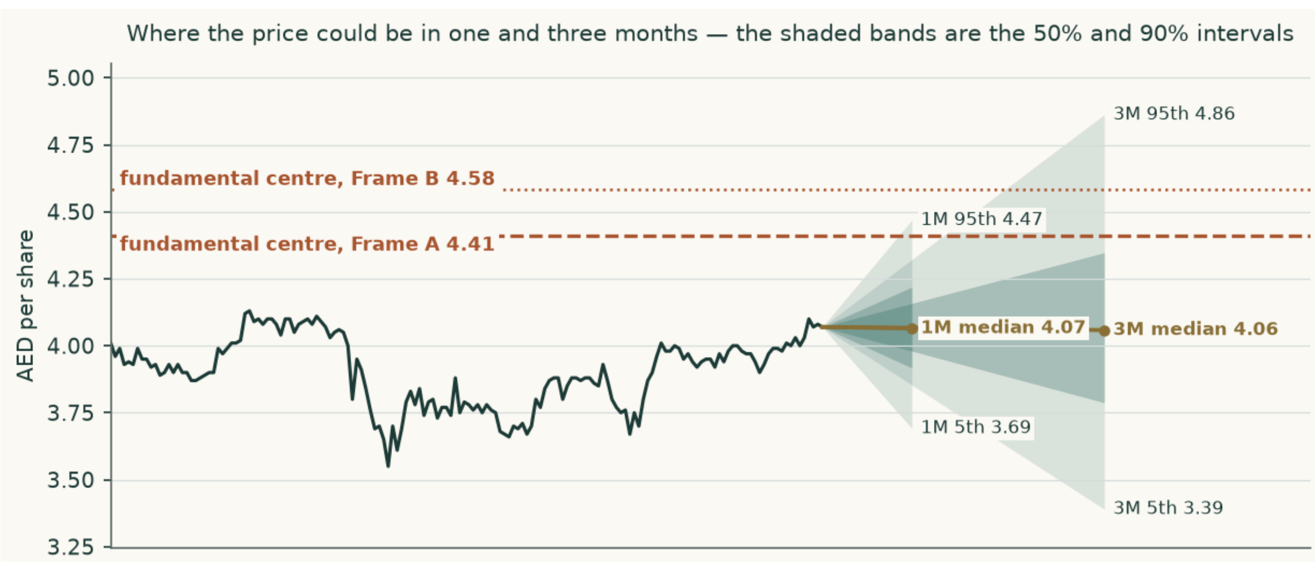

Figure 7 — the price history and the one- and three-month probability ranges.

How much should a reader trust this? The method was tested by re-running it across this share's own price history without ever letting it see the future, and scoring each forecast against what actually happened. The honest answer is that on this particular share the three-month range has been TOO WIDE — not mis-centred, too wide — and this study would rather say so than present the range as sharper than it is.

The numbers. Over 17 non-overlapping three-month windows running from 2022-03-30 to 2026-04-06, the realised price landed inside the 80% range on EVERY ONE of them and inside the 90% range on every one of them — against targets of 80% and 90% respectively. Coverage of 100% where 80% was intended is not a success; it is a range that is too generous. The 50% range covered 76% against a 50% target, the same story a little less starkly. The range averaged 1.16 times the width of a simple random-walk benchmark anchored on the same carry, and it scored slightly WORSE than that benchmark, by -0.0413 on a scale where zero means no better and one means perfect. Over the longer 7.3-year history and 30 windows the same test gives -0.0231 with 90% coverage of 97%; over the last five years and 19 windows, -0.0344. All three are reported, because reporting two of three would be a choice about which evidence a reader sees.

The one-month range performs better. Across 52 one-month windows it scored +0.0083 — indistinguishable from the benchmark rather than behind it — with 80% coverage of 92% and 90% coverage of 98%, both close to their targets, on a width ratio of 1.12. The shorter horizon is where the method is honest about this share; the longer one is where it is too cautious.

The reason is not mysterious and it is worth stating precisely, because it tells a reader how to use the range. This is one of the least volatile shares on its exchange. Measured over a common window against the 19 largest names on the same market, its annualised volatility is 19.6% against a median of 27.1% — it ranks 4th quietest of 19, at 72% of the median. The width parameter that generates the range is fitted across that whole set of names at once, so a share that moves three-quarters as much as the typical one inherits a range sized for the typical one. Rebuilding the width from this share's own resolved windows alone implies about 0.50 times the width actually published.

So: read the published three-month range as an OUTER bound rather than a tight one. A narrower range fitted to this name alone is NOT published here, and the reason is a discipline rather than an oversight — a width fitted to this share's own history has not yet been tested on data it did not see, and nothing enters this study's machinery without surviving that test. Publishing a tighter range because it fits the past better is exactly the mistake the discipline exists to prevent. The wider range is the honest one until the narrower one has earned its place.

4. Comparison of the lenses

Method	AED / share	Most sensitive to	When it misleads
Discounted cash flow — Frame A	4.78	the terminal discount rate and growth — 74.9% of the value is in the terminal block	when five explicit years are not long enough to reach a steady state, which for a network still adding stations is a live risk
Discounted cash flow — Frame B	5.10	the same, plus whether inventory movements are a recurring feature of a pass-through pricing model or a one-off of a volatile year	if the crude path mean-reverts as forecast, the inventory gains reverse and this frame is too generous
Normalised earnings power	4.01	the choice of discount rate — it capitalises a single year in perpetuity	when the current year is not normal, which after a crude spike is exactly the condition to worry about
Relative multiples	4.95	the reference multiple, which is derived from the cost of equity	when the comparable set faces a different pricing regime — which here it does, so the reference is built from own economics instead
Book value and sustainable return	3.36	the sustainable return on a deliberately thin equity base	when payout policy, not operating performance, sets the denominator
Dividend capitalisation	2.71	the dividend policy and the cost of equity — nothing else	whenever the dividend is a fixed policy commitment rather than a share of the cash generated, which is the case here

Table 28 — the methods against each other, including where each one fails.

The readings disagree in an informative direction, and one disagreement is worth more than the rest. The dividend-capitalisation reading lands at AED 2.71, AED 1.36 below the traded price of AED 4.07. The cash-flow model lands at AED 4.78, AED 0.71 above it. The traded price sits between them, and the gap between those two readings — AED 2.08 a share — is not a modelling artefact. It is the difference between what the company PAYS and what the business EARNS.

The dividend is a fixed policy commitment: USD 700 million a year, AED 0.21 a share, held flat from 2024 through 2030 unless 92% of net profit exceeds it. Capitalising it at the cost of equity values that promise and nothing else. The cash-flow model, by contrast, captures the increase the dividend policy does not: free cash flow to the firm runs from AED 4,368 million to AED 4,228 million across the window against a dividend of AED 2,571 million a year, so cash accumulates inside the business at a rate the payout does not reflect. A holder who values this share on its yield is valuing the policy. A holder who values it on its cash flow is valuing the network. Those are different assets, and the study publishes both readings rather than deciding which reader is right.

That also explains the shape of the rest of the field. The normalised-earnings reading at AED 4.01 sits ABOVE the Frame A cash-flow reading despite crediting no growth whatever, because it capitalises at today's 7.44% instead of gliding to 7.44%. The relative reading at AED 4.95 and the book reading at AED 3.36 sit lowest, and both are anchored on the same cost of equity — so they are not four independent votes. Three of the five readings move together with the discount rate, which is the honest reason the field is as narrow as it is.

5. Catalysts

What would move this valuation, in the order a reader is likely to encounter it.

What to watch	Why it matters	When
The South African acquisition	On 07-Jul-2026 ADNOC Distribution signed an agreement to acquire 100% of Shell Downstream South Africa for approximately USD 1bn enterprise value, covering ~580 Shell stations. The deal expands the network by roughly 55% to ~1,600 stations and increases fuel volumes by approximately 20%, to 19.2bn litres annually. Management expects it to be 6% EPS accretive from year one, to lift EBITDA by 13%, and to generate USD 30-40m of run-rate EBITDA synergies within five… THE BASE CASE IN THIS STUDY EXCLUDES IT ENTIRELY: no revenue, no cost, no synergy and no financing charge from this transaction appears anywhere in the model, because it has not closed and remains subject to regulatory approval. If it completes on the terms announced it is accretive on the company's own stated arithmetic, and this study will carry it only once it is a fact	completion anticipated 2027
The crude price path	the official forecast is for Brent to fall from 83.5 dollars today toward 65 dollars in 2027. That does two opposite things at once: it compresses revenue per litre, which is neutral because the margin per litre is what earns, AND it reverses the inventory gains, which is NOT neutral. It is the single most direct test of which of the two frames is right	quarterly
Inventory movements in the second half of 2026	AED 762 million was booked in the first half against AED 335 million in the whole of FY2025. If the second half gives it back, Frame A is vindicated; if it holds, Frame B is. The company's own underlying EBITDA measure — up 10.1% in FY2025 against a headline that moved with the inventory — is the line to read	FY2026 results
Non-fuel conversion	non-fuel transactions per fuel transaction FELL from 0.27 to 0.26 year on year. Non-fuel is the only leg with genuine pricing freedom and it carries a 56% gross margin against a fuel margin of a few per cent. The company's own target is to double non-fuel transactions between 2023 and 2030; the trend is currently against it	each set of results

The network build	FY2026 capex guidance USD 250-300 million, weighted toward growth projects in H2. FY2026 network guidance: 60-70 new stations and 50-60 new EV charging points; five new hubs planned in 2026. Longer-term strategy guidance: grow the service-station network to…	FY2026 and annually
Electric-vehicle displacement	the UAE policy target is 10% of vehicles on the road electric by 2030, against a vehicle parc growing at million registered vehicles (UAE, June 2025); +9.35% y/y. Section 1.7 shows the market price already embeds permanent volume decline; this is the mechanism that would deliver it. The company is building charging points — 406 of them by mid-2026 — which converts part of the threat into a different revenue line	continuous
The minimum top-up tax	the audited FY2025 reconciliation does not apply the 15% minimum rate and this study follows the audited accounts. If a future reconciliation does apply it, the value impact is AED 0.28 a share on the arithmetic in section 1.8	FY2026 results
The dividend	The dividend policy provides for an annual dividend of USD 700 million (20.57 fils per share) for the years 2024-2030, or a minimum of 75% of net profit, whichever is higher. The policy was extended… A move to quarterly payment is a change in the shape of the cash return, not its size	quarterly from 2026

Table 29 — the events that would move this valuation, and the direction each cuts. The first row is the largest single item outside the base case and it is excluded from every number in this study.

6. Reading the probability zones

The ranges in section 3 are frequently misread, so here is how to use them.

- **The percentile map** is the probability that the price ENDS the window beyond a level. It is what a position held to the check date experiences.
- **The touch ladder** is the probability that the price TOUCHES a level at any point inside the window, even if it comes back. It is always the larger of the two. At three months the chance of touching a price ten per cent above the anchor is 31.5% against 17.2% of closing there.
- **The check date** is a calendar commitment, not a session count. The three-month range is graded on 2026-11-09 against the closing price on that date, whatever happened in between.
- **The range** is NOT the fair-value range. The probability map is built from price behaviour alone and knows nothing about the company; the valuation is built from the statements and knows nothing about the tape. They are deliberately independent, and they disagree: the three-month 95th percentile of AED 4.86 sits below every one of the four weighted methods.
- **The published width** is wider than this share warrants, and section 3 says so with the numbers. Treat the 90% range as an outer bound. A reader who wants a working range should look at the 25th-to-75th band — AED 3.79 to AED 4.35 at three months — which is the half of the distribution the evidence supports best.

One thing the ranges are not: a forecast. Nothing in section 3 says the price will rise or fall. The median at both horizons sits fractionally below the anchor purely because the dividend yield exceeds the risk-free rate, which is arithmetic, not a view.

7. Caveats, and what would change our mind

Caveat	Why it matters	What would change the answer
Terminal weight	74.9% of enterprise value sits beyond the explicit window. Three-quarters of this valuation is a statement about the years after FY2030	any evidence about the long-run volume base. The sensitivity grid runs AED 3.81 to AED 6.73 and the whole of it is published

Inventory movements are not an audited line	they appear only in management commentary and the results presentations, with no reconciliation to the audited accounts. The study's central contested judgement therefore rests on a disclosure that cannot be independently recomputed	a reconciliation in a future filing, or a full year in which the crude path falls and the movements reverse as Frame A assumes
A committee sets the price	the single largest revenue driver in this business is set monthly by a government committee. No forecast of it is anything more than a forecast of the crude path that feeds its formula	a change to the pricing mechanism itself — deregulation, a cap, or a change to the parental margin floor
The parental relationship cuts both ways	the supply agreement provides a 45-fils margin floor and a cash-settled inventory backstop, which is genuinely valuable. It is also a related-party arrangement with a controlling shareholder that owns roughly 77% of the equity	any renegotiation of the supply agreement, or a change in the parent's stake
The beta is low, and it is doing a lot of work	a beta of 0.65 with an r-squared of 17.9% produces a cost of equity of 7.60%. The 90% interval on that regression runs 0.51 to 0.79	a beta at the top of its own confidence interval. The model already glides to 0.65 in the terminal; at 0.80 throughout, the value is AED 4.25
Three of the five readings share one input	the relative, book-value and dividend readings are all anchored on the same cost of equity. They are not independent votes, and the narrowness of the field partly reflects that	nothing — this is a property of the methods, disclosed rather than fixed
The country-risk file carries a January vintage	a mid-year update is known to exist but its UAE row could not be verified in the original source, and a third-party figure that contradicts the original file was found and NOT used	the mid-year row, read from the original file. The sensitivity to the equity risk premium is published through the beta row of the sensitivity table
The South African acquisition is excluded	a transaction of approximately USD 1,000 million enterprise value, expanding the network by roughly half, sits entirely outside every number in this study	completion. At that point the base case must be rebuilt, not adjusted
The probability range is too wide for this share	coverage of 100% where 80% was intended, on a width 1.16 times the benchmark's	a narrower width fitted to this share alone, once it has been tested on data it did not see

Table 30 — what could be wrong, and what evidence would settle it.

Appendix A — the financial statements

A.1 Income statement: three audited years and five forecast years

AED million	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	34,629	35,454	35,897	43,836	43,215	44,450	45,876	47,321
Direct costs	28,793	29,238	28,951	35,589	35,446	36,375	37,455	38,544
Gross profit	**5,836**	**6,216**	**6,946**	**8,247**	**7,769**	**8,076**	**8,421**	**8,777**
Gross margin	16.9%	17.5%	19.3%	18.8%	18.0%	18.2%	18.4%	18.5%
memorandum: inventory movement inside gross profit	—	254	335	762	0	0	0	0
Cash operating expenses	2,220	2,409	2,548	2,650	2,755	2,866	2,980	3,100
Other income	146	138	168	173	178	183	189	194
Impairment and credit losses	82	90	284	360	220	225	230	235
EBITDA	**3,680**	**3,855**	**4,282**	**5,410**	**4,972**	**5,168**	**5,399**	**5,637**
EBITDA margin	10.6%	10.9%	11.9%	12.3%	11.5%	11.6%	11.8%	11.9%

Depreciation and amortisation	697	786	776	792	811	825	839	851
EBIT	**2,983**	**3,069**	**3,506**	**4,618**	**4,161**	**4,343**	**4,560**	**4,786**
Net finance cost	334	313	332	332	332	332	332	332
Profit before tax	2,649	2,756	3,174	4,286	3,829	4,011	4,229	4,454
Tax	19	283	323	436	389	408	430	453
Effective tax rate	0.7%	10.3%	10.2%	10.2%	10.2%	10.2%	10.2%	10.2%
Net profit	2,630	2,472	2,851	3,850	3,440	3,603	3,799	4,001
Non-controlling interests	29	52	57	57	57	57	57	57
PROFIT ATTRIBUTABLE TO SHAREHOLDERS	**2,601**	**2,420**	**2,794**	**3,793**	**3,383**	**3,546**	**3,741**	**3,944**
Earnings per share (AED)	0.21	0.19	0.22	0.30	0.27	0.28	0.30	0.32
Dividend per share (AED)	0.21	0.21	0.21	0.21	0.21	0.21	0.21	0.21

Table 31 — three audited years and five forecast years, Frame A. Every forecast line is the model row the valuation itself uses; nothing here is a restatement. Two forecast lines are held rather than driven and are labelled as such: the net finance cost is held at the FY2025 charge of AED 332 million, because borrowings are neither repaid nor raised in the model, and the minority interest is held at AED 57 million. The tax line applies the effective rate of 10.17% shown in the audited FY2025 reconciliation, not the statutory 9% and not the 15% minimum rate; section 1.8 prices that choice. The inventory memorandum line is shown INSIDE gross profit rather than beside it, because that is where it sits in the reported figure.

A.2 Balance sheet

AED million	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Fixed, right-of-use and intangible assets	10,078	9,940	10,149	10,369	10,542	10,703	10,849	10,979
Inventories	1,294	1,620	1,574	1,935	1,927	1,978	2,037	2,096
Receivables including related parties	4,325	3,687	3,391	4,141	4,082	4,199	4,334	4,470
Cash and term deposits	3,194	2,934	2,561	4,003	4,674	5,538	6,621	7,922
TOTAL ASSETS	**18,892**	**18,181**	**17,675**	**20,448**	**21,226**	**22,418**	**23,841**	**25,468**
Payables including related parties	7,369	7,236	6,762	8,313	8,279	8,496	8,749	9,003
Borrowings	5,492	5,591	5,546	5,546	5,546	5,546	5,546	5,546
Lease liabilities	1,747	1,723	1,446	1,446	1,446	1,446	1,446	1,446
Provisions and other liabilities	487	450	460	460	460	460	460	460
Total liabilities	15,096	15,000	14,215	15,765	15,732	15,949	16,201	16,455
Equity attributable to shareholders	3,472	2,992	3,230	4,452	5,264	6,239	7,409	8,782
Non-controlling interests	324	189	230	230	230	230	230	230
TOTAL EQUITY AND LIABILITIES	**18,892**	**18,181**	**17,675**	**20,448**	**21,226**	**22,418**	**23,841**	**25,468**
Balance check	**0.0**	**0.0**	**0.0**	**-0.0**	**-0.0**	**-0.0**	**-0.0**	**-0.0**
Net debt including leases	4,045	4,379	4,431	2,990	2,318	1,454	371	-930
Book value per share (AED)	0.28	0.24	0.26	0.36	0.42	0.50	0.59	0.70

Table 32 — the balance sheet, WHICH BALANCES: the check row reads zero in every audited column and every forecast column. The audited columns reconcile exactly to the filed total assets of AED 17,675 million at FY2025; the grouping above is a summary of the filed captions, not a restatement of them. In the forecast, fixed assets roll forward as prior balance plus capital expenditure less depreciation; receivables scale on revenue and inventories and payables on direct costs, at the FY2025 day ratios set out in A.3; borrowings, leases and provisions are HELD, so cash

is the plug and it absorbs the cash the dividend does not distribute. That is why net debt falls to a net cash position across the window — the model distributes the policy dividend, not the cash generated, and section 4 is the consequence.

A.3 Cash flow and the working-capital markers

Marker	FY2025 audited	2026E	2027E	2028E	2029E	2030E
Receivable days, trade only	27	27	27	27	27	27
Receivable days, including related parties	34	34	34	34	34	34
Inventory days	20	20	20	20	20	20
Payable days, trade only	39	39	39	39	39	39
Payable days, including related parties	85	85	85	85	85	85
Cash conversion cycle, trade only	7	7	7	7	7	7
Cash conversion cycle, including related parties	-31	-31	-31	-31	-31	-31
Net working capital (AED m)	-1,797	-2,236	-2,269	-2,319	-2,378	-2,437
Change in working capital (AED m)	—	-440	-33	-50	-59	-59

Table 33 — the asset-conversion cycle, projected rather than plugged. Both framings are published because both are legitimate and they say opposite things: on trade balances alone the cycle is 7 days — the business is very slightly a net investor in working capital. Including balances with related parties, which is how the audited balance sheet actually presents them, the cycle is -31 days: the business is financed by its own suppliers, most of them inside the parent group. The model uses the second, because that is the balance sheet that exists. A reader who thinks the related-party terms would not survive an arm's-length renegotiation should use the first, and the difference is roughly AED 1,797 million of financing.

Cash flow (AED m)	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Operating cash flow	5,051	3,931	3,922	5,082	4,283	4,478	4,696	4,911
Capital expenditure	(1,032)	(1,179)	(1,207)	(1,012)	(984)	(986)	(985)	(981)
Free cash flow after capital expenditure	4,019	2,752	2,715	4,070	3,300	3,492	3,711	3,930
Dividends paid	(2,623)	(2,614)	(2,599)	(2,571)	(2,571)	(2,571)	(2,571)	(2,571)
Free cash flow to the FIRM (the valuation line)	**—**	**—**	**—**	**4,368**	**3,598**	**3,790**	**4,009**	**4,228**

Table 34 — the cash flow. The last row is the line the valuation discounts and it is deliberately shown beside, not instead of, the shareholder cash flow above it: free cash flow to the firm is struck before financing and before tax on financing, so it is larger than the cash the equity actually receives. Dividends paid have exceeded free cash flow after capital expenditure in FY2024 and FY2025 — AED 2,599 million against AED 2,715 million in FY2025 — which is worth a reader's attention even though the balance sheet carries it comfortably.

Appendix B — peers, risks and the research record

B.1 Peers

No peer figure is used to construct any historical number for this company. Peers appear here as a cross-check on the multiple the study derives from the company's own economics, and as evidence about the industry. The set spans four continents deliberately, because the point being tested is precisely whether a regulated-margin retailer should trade like an unregulated one.

Company	Market	Enterprise value / EBITDA	Role
Aldrees Petroleum and Transport Services	Saudi Arabia	12.9x	closest regional comparable — same region, similar licensing regime

Saudi Automotive Services Company	Saudi Arabia	12.3x	cross-check
Alimentation Couche-Tard	Canada	10.7x	the global convenience-retail benchmark
Casey's General Stores	United States	22.4x	the highest multiple in the set — a pure convenience model
Murphy USA	United States	10.0x	high-volume fuel-led model
OMV Petrom	Romania	9.9x	integrated European comparator
Vibra Energia	Brazil	7.7x	emerging-market fuel distribution
Ultrapar Participacoes	Brazil	6.8x	the lowest multiple in the set
ADNOC Distribution, at the traded price	**United Arab Emirates**	**13.0x**	**the subject, on the same enterprise-value definition**

Table 35 — the peer evidence, 8 listed comparators plus the subject. Two names that would have been the most instructive comparators — a large Indian fuel-retail joint venture and a global emerging-market fuel distributor — have no listed equity and therefore no multiple, and their absence is recorded rather than quietly ignored.

B.2 Risks

Risk	How it would show up	Severity
The crude path reverses the inventory gains	the AED 762 million booked in the first half of 2026 unwinds as prices fall toward the forecast 65 dollars. The parental backstop covers regulated retail stock quarterly and cash-settles, which truncates but does not eliminate this	High
Permanent volume decline	the risk the market is already pricing. Section 1.7 shows the traded price embeds -0.26% terminal growth against a cost stack escalating at 4%	High
Non-fuel conversion keeps deteriorating	non-fuel transactions per fuel transaction fell year on year in the first half of 2026. The high-margin leg is the one that is supposed to offset fuel maturity	Medium to high
Concentration in one country and one regulator	569 of 1,045 stations are in the UAE and the UAE price is set by one committee	Medium to high
Related-party dependence	the supply agreement, the margin floor, the inventory backstop and roughly AED 3,647 million of payables all run through the controlling shareholder	Medium
Acquisition execution	a USD 1,000 million transaction in a new country and a new regulatory regime, excluded from this valuation but not from the company's future	Medium
Tax regime change	a 15% minimum rate the audited accounts do not yet apply; worth AED 0.28 a share	Medium
Egyptian currency exposure	the Egyptian leg earns in a currency that has depreciated materially and is translated into dirhams	Low to medium

Table 36 — the risk record.

B.3 The research record

56 external items were obtained, dated and classified before any forecast driver was set, across four layers of research: the global energy and rate environment, the UAE country layer, the fuel-retail industry, and company-level context. Items marked as drivers change a number in the model; the rest inform the narrative or were used only as cross-checks. Company-level items in this record are CONTEXT ONLY — every reported historical figure in this study comes from the company's own audited and reviewed filings, listed at the foot of this appendix, and from nowhere else.

Ref	Layer	Use	Topic and finding	Source	As of

G-01	Global	Driver	Brent crude spot price — Brent crude rose to USD 83.55/bbl on 07-Aug-2026, +1.29% on the day, +7.09% on the month and +25.47% year-on-year. Price action in early August was…	Trading Economics — Brent Crude Oil	2026-08-07
G-02	Global	Supporting	WTI crude spot price — WTI rose to USD 78.18/bbl on 07-Aug-2026 (+1.15% d/d). 52-week range: intraday low USD 54.97 on 17-Dec-2025 to intraday high USD 119.47 on 09-Mar-2026…	Forbes Advisor — Crude Oil Price Today…	2026-08-07
G-03	Global	Critical	2026 YTD crude oil price path — the Strait of Hormuz shock — Brent opened 2026 near USD 63 and rose to ~USD 70.69 by end-January. February ranged USD 63-72. In March the…	Wikipedia — 2026-2028 world oil market…	2026-08-08
G-04	Global	Driver	EIA Short-Term Energy Outlook — Brent forecast 2026-2027 — July 2026 STEO: Brent averaged USD 85/bbl in June 2026 (down USD 22 from May and USD 32 from the April 2026 peak).…	US EIA July 2026 Short-Term Energy…	2026-07-07
G-05	Global	Supporting	Global refined-product cracks / refining margins 2025-2026 — Crack spreads hit record highs in 2026. The prompt NYMEX 3-2-1 crack spread reached a record USD 64.58/bbl on…	Forbes — Refining Stocks Soar As Crack…	2026-07-23
G-06	Global	Driver	Global EV penetration trajectory — IEA Global EV Outlook 2026 (published May 2026): global electric passenger car sales exceeded 20 million units in 2025, reaching 25% of…	IEA Global EV Outlook 2026	2026-05-01
G-07	Global	Driver	Non-fuel income share at global fuel-retail peers — Across the US convenience/fuel-retail industry, inside sales drive roughly 70-78% of gross profit despite being only ~22%…	Raymond James Convenience Store Insight; …	2026-02-11
G-08	Global	Driver	US Federal Reserve policy rate — drives UAE rates via the AED/USD peg — The FOMC held the federal funds target range at 3-1/2 to 3-3/4 percent (3.50%-3.75%) at its meeting…	Federal Reserve Board — FOMC statement,…	2026-07-29
G-09	Global	Critical	US 10-year Treasury yield — The US 10-year Treasury yield eased to 4.65% on 07-Aug-2026 and held around 4.68% on Friday 08-Aug-2026. Fed officials have increasingly…	Trading Economics — US 10 Year Treasury…	2026-08-08
C-01	Country	Supporting	UAE real GDP growth 2025 actual — IMF: UAE GDP projected to expand 4.8% in 2025, driven by non-hydrocarbon growth of 4.6% and a 5.3% rebound in hydrocarbon GDP. World Bank…	IMF — 2025 Article IV Consultation,…	2025-10-02
C-02	Country	Driver	UAE real GDP growth 2026-2027 forecast, non-oil specifically — IMF: 2026 growth projected to accelerate to 5.0%, driven by stronger hydrocarbon GDP (6.3%) with…	IMF 2025 Article IV; CBUAE Quarterly…	2025-10-02
C-03	Country	Driver	UAE CPI inflation 2025 actual and 2026-2027 forecast — Inflation averaged 1.3% in 2025, with declines in transport costs and textile prices and favourable food prices.…	Central Bank of the UAE — Quarterly…	2026-03-01
C-04	Country	Driver	UAE population growth and vehicle parc / registrations — UAE vehicle registrations reached 4.56 million by June 2025, up from 4.17 million a year earlier — +9.35% y/y, equal…	Khaleej Times / The Filipino Times…	2025-06-30
C-05	Country	Driver	UAE Central Bank Base Rate — CBUAE has maintained the Base Rate applicable to the Overnight Deposit Facility (ODF) at 3.65%. The most recent confirmation of the hold was…	Central Bank of the UAE — 'CBUAE…	2026-07-29
C-06	Country	Critical	UAE federal AED Treasury Bond curve — THE RISK-FREE ANCHOR — July 2026 auction (results announced ~30-Jul-2026): the Ministry of Finance completed the July 2026 auctions of…	UAE Ministry of Finance / WAM (Emirates…	2026-07-30
C-07	Country	Supporting	UAE federal AED T-Bond curve — prior auctions (path evidence) — May 2026 auction: AED 1.1bn issued, YTM 4.03% for the T-Bond tranche maturing September 2027 and 4.30% for…	UAE Ministry of Finance — 'UAE…	2026-05-23
C-08	Country	Driver	Abu Dhabi sovereign USD bond — 10-year point — Abu Dhabi's February 2026 dual-tranche USD issuance raised USD 3bn. The 10-year tranche priced with a 4.25% coupon at a…	Zawya — 'Abu Dhabi raises $3bln as…	2026-02-01

C-09	Country	Driver	UAE sovereign credit rating — Moody's — Moody's affirmed the United Arab Emirates at Aa2 with a stable outlook on 12-Jun-2026, citing robust public finances, high per-capita…	The National — 'UAE retains high Moody's…	2026-06-12
C-10	Country	Supporting	UAE sovereign credit rating — S&P — S&P Global Ratings affirmed the UAE sovereign rating at AA/A-1+ for both local and foreign currency, with a stable outlook, on 06-Mar-2026.	Gulf News — 'UAE earns top sovereign…	2026-03-06
C-11	Country	Supporting	UAE sovereign credit rating — Fitch — Fitch affirmed the UAE at AA- with a stable outlook on 23-May-2026.	Gulf News — 'UAE earns top sovereign…	2026-05-23
C-12	Country	Critical	Damodaran country risk premium — UNITED ARAB EMIRATES row, from the ORIGINAL ctryprem.html — Read live from the original file at pages.stern.nyu.edu. The file header reads…	Aswath Damodaran (NYU Stern) — Country…	2026-01-05
C-13	Country	Critical	Damodaran July-2026 mid-year update — DISCREPANCY FLAG — A Damodaran 'Equity Risk Premiums, by country - July 2026 Update' exists, published 03-Jul-2026, covering 157…	Aswath Damodaran — 'Equity Risk…	2026-07-03
C-14	Country	Critical	UAE federal corporate tax — 9% regime — The UAE corporate tax rate is 9%, charged on taxable profits above AED 375,000 annually, under the federal corporate tax regime.…	PwC Worldwide Tax Summaries — United…	2026-01-01
C-15	Country	Critical	UAE Domestic Minimum Top-up Tax (DMTT) — 15% — The UAE introduced a 15% Domestic Minimum Top-up Tax effective for financial years beginning on or after 1 January 2025, under…	UAE Ministry of Finance — Top-up Tax; EY…	2025-01-01
C-16	Country	Critical	ADNOC Distribution's own tax position — regime applicability — ADNOC Distribution is subject to corporate tax and is NOT covered by the upstream extraction carve-out.…	Gulf News — ADNOC Distribution results…	—
C-17	Country	Critical	UAE retail fuel pricing mechanism — deregulation and the monthly committee — The UAE Ministry of Energy deregulated fuel prices with effect from 1 August 2015, adopting a…	UAE Cabinet — 'Fuel Prices to be…	2015-08-01
C-18	Country	Critical	UAE retail fuel prices — August 2026 (current levels) — Announced 31-Jul-2026, effective 1 August 2026, uniform across all emirates and all retailers (ADNOC, ENOC, EPPCO and…	Khaleej Times — 'UAE petrol and diesel…	2026-08-01
C-19	Country	Critical	UAE retail fuel price path — full monthly 2026 series — Monthly UAE retail prices, AED/litre (Super 98 / Special 95 / E-Plus 91 / Diesel): January 2.53 / 2.42 / 2.34 / 2.55;…	OneClickDrive UAE Petrol Prices 2026…	2026-08-01
C-20	Country	Driver	UAE retail fuel price path — 2024 and 2025 (prior-period base) — Annual ranges: 2024 Special 95 AED 2.50-3.22, Super 98 AED 2.61-3.34. 2025 Special 95 AED 2.46-2.77, Super…	DubaiWheels UAE Petrol Price History…	2025-12-01
I-01	Industry	Driver	UAE fuel retail market structure and shares — ADNOC Distribution, ENOC and Emarat jointly controlled about 85% of UAE retail fuel volumes in 2025. ADNOC Distribution…	Mordor Intelligence — United Arab…	2025-12-31
I-02	Industry	Background	UAE fuel station market size and growth — The UAE fuel station market was valued at USD 17.40 billion in 2026 and is projected to grow at a 4.15% CAGR to USD 21.32 billion…	Mordor Intelligence — United Arab…	2026-01-01
I-03	Industry	Driver	Saudi Arabia fuel retail — licensing and consolidation regime — All activities relating to petroleum and petrochemical materials require prior licensing from the Saudi…	Saudi Press Agency; Zawya — 'Saudi:…	2026-06-01
I-04	Industry	Driver	ADNOC Distribution Saudi Arabia entry, network and competitors — ADNOC Distribution's Saudi network expanded 65% to 231 sites as at H1-2026, of which ~70% are DUCCO…	ADNOC Distribution H1-2026 earnings…	2026-06-30
I-05	Industry	Driver	Egypt fuel retail — TotalEnergies Marketing Egypt JV and EGP exposure — ADNOC Distribution completed the acquisition of a 50% stake in TotalEnergies Marketing Egypt LLC from…	ADNOC Distribution — completion…	2026-08-05

I-06	Industry	Driver	EV charging in the UAE — policy targets and adoption — The UAE National Electric Vehicles Policy, under the Net Zero 2050 strategy, targets 50% of vehicles on the road to be…	The Official Platform of the UAE…	2026-01-01
I-07	Industry	Driver	Peer multiple — Aldrees Petroleum and Transport Services (Tadawul: 4200) — CLOSEST REGIONAL PEER — Market cap SAR 11.97bn; enterprise value SAR 16.49bn; trailing P/E 26.13;…	StockAnalysis.com — Aldrees Petroleum…	2026-08-09
I-08	Industry	Supporting	Peer multiple — Saudi Automotive Services Company / SASCO (Tadawul: 4050) — used only as a cross-check — Market cap SAR 2.66bn; enterprise value SAR 7.27bn; trailing P/E…	StockAnalysis.com — Saudi Automotive…	2026-08-09
I-09	Industry	Supporting	Peer multiple — Alimentation Couche-Tard (TSX: ATD) — used only as a cross-check — Market cap CAD 85.65bn; enterprise value CAD 104.17bn; trailing P/E 20.23; forward P/E…	StockAnalysis.com — Alimentation…	2026-08-09
I-10	Industry	Supporting	Peer multiple — Casey's General Stores (NASDAQ: CASY) — used only as a cross-check — Market cap USD 30.86bn; enterprise value USD 33.24bn; trailing P/E 43.53; forward P/E…	StockAnalysis.com — Casey's General…	2026-08-09
I-11	Industry	Supporting	Peer multiple — Murphy USA (NYSE: MUSA) — used only as a cross-check — Market cap USD 9.56bn; enterprise value USD 12.12bn; trailing P/E 15.88; forward P/E 17.22; EV/EBITDA…	StockAnalysis.com — Murphy USA (MUSA)…	2026-08-09
I-12	Industry	Supporting	Peer multiple — OMV Petrom (BVB: SNP) — used only as a cross-check — Market cap RON 79.14bn; enterprise value RON 75.63bn; trailing P/E 28.56; forward P/E 14.61; EV/EBITDA…	StockAnalysis.com — OMV Petrom (BVB:SNP)…	2026-08-09
I-13	Industry	Supporting	Peer multiple — Vibra Energia (B3: VBBR3) — used only as a cross-check — Market cap BRL 40.82bn; enterprise value BRL 59.81bn; trailing P/E 13.79; forward P/E 6.34;…	StockAnalysis.com — Vibra Energia…	2026-08-09
I-14	Industry	Supporting	Peer multiple — Ultrapar Participacoes (NYSE: UGP, ADR of UGPA3) — used only as a cross-check — Market cap USD 6.56bn; enterprise value USD 9.71bn; trailing P/E 11.43;…	StockAnalysis.com — Ultrapar…	2026-08-09
I-15	Industry	Background	Peers requested but NOT LISTED — Jio-bp and Puma Energy — Jio-bp (Reliance BP Mobility Limited) is an unlisted joint venture between Reliance Industries (51%) and BP (49%);…	Wikipedia — Jio-bp; BP India press…	2026-08-09
CO-01	Company	Critical	ADNOC Distribution market data — price and capitalisation — Share price AED 4.070 at the close of 07-Aug-2026 (-0.25% on the day). Market capitalisation AED 50.86bn.…	StockAnalysis.com — Abu Dhabi National…	2026-08-07
CO-02	Company	Driver	ADNOC Distribution ownership — free float and parent stake — Free float was 23% of shares as at 31-Dec-2025, implying an ADNOC parent stake of ~77%. The float was built…	ADNOC Distribution Investor Relations;…	2025-12-31
CO-03	Company	Critical	ADNOC Distribution Q2 and H1 2026 results — headline (CONTEXT ONLY) — Reported 05-Aug-2026. Q2-2026: net profit USD 358m (AED 1.31bn), +94% y/y; revenue AED 13.2bn, +53%…	ADNOC Distribution H1-2026 results and…	2026-06-30
CO-04	Company	Driver	ADNOC Distribution non-fuel retail and property (CONTEXT ONLY) — Non-fuel retail gross profit rose from USD 67m in H1-2021 to USD 140m in H1-2026 — more than doubling over…	ADNOC Distribution H1-2026 earnings…	2026-06-30
CO-05	Company	Critical	ADNOC Distribution — Shell Downstream South Africa acquisition — On 07-Jul-2026 ADNOC Distribution signed an agreement to acquire 100% of Shell Downstream South Africa for…	ADNOC Distribution H1-2026 earnings…	2026-07-07
CO-06	Company	Critical	ADNOC Distribution dividend policy — The dividend policy provides for an annual dividend of USD 700 million (20.57 fils per share) for the years 2024-2030, or a minimum of…	ADNOC Distribution — Dividends /…	2026-04-01
CO-07	Company	Driver	ADNOC Distribution dividends declared 2025-2026 — FY2025: total dividend USD 700m (AED 2.57bn), comprising an interim of USD 525m (AED 1.9bn), equivalent to 15.4 fils per…	ADNOC Distribution — H1-2026 results…	2026-08-05

CO-08	Company	Critical	ADNOC supply agreement — the 45 fils/litre minimum margin backstop — ADNOC Distribution's supply agreement with parent ADNOC for refined petroleum products includes a…	ADNOC Distribution H1-2026 earnings…	2026-08-05
CO-09	Company	Driver	ADNOC Distribution guidance — capex, network and 2028-2030 targets — FY2026 capex guidance USD 250-300 million, weighted toward growth projects in H2. FY2026 network…	ADNOC Distribution H1-2026 earnings call…	2026-08-05
CO-10	Company	Driver	ADNOC Distribution debt and cost of debt evidence (CROSS-CHECK) — Company-level: ADNOC Distribution's board approved loan agreements worth approximately USD 2.25bn to…	ADNOC — 'ADNOC Successfully Completes…	2025-05-06
CO-11	Company	Background	Sell-side / analyst commentary — used only as a cross-check, never as a source for the model — Sixteen analysts covering ADNOC Distribution carry a consensus 'Buy' rating…	StockAnalysis.com consensus data…	2026-08-09
C-21	Country	Driver	FTSE ADX General Index — the published index of the subject's own exchange — Daily index history for the FTSE ADX General Index, the headline capitalisation-weighted index…	FTSE ADX General Index daily history	2026-07-24

Table 37 — the full external research record: 56 items, of which 24 are drivers. Findings are abbreviated for the page; each item carries its full text, its source address and its access date in the accompanying bibliography.

What was sought and not found	What was done instead
Damodaran July-2026 UAE row from the original file — The canonical ctryprem.html still reads 'Last updated: January 5, 2026'. A July-2026 update exists (mature-market ERP 4.17%, US ERP 4.45%, equity volatility multiplier 1.5545, published 03-Jul-2026) but…	Attempt to source ctryprem.xlsx (the July-2026 workbook) directly and re-read the UAE row. Failing that, use the original-file January-2026 row (Aa2 / 0.42% / 0.64% / 4.87%) and disclose the vintage. Show the ERP choice as a…
10-year AED risk-free point — The UAE has not issued a 10-year AED federal T-bond. The longest observed AED federal point is the January 2031 tranche (~4.5-year), yielding 4.48% at the July-2026 auction. A 10-year AED point must be constructed, not observed.	Extrapolate the AED curve using the Abu Dhabi USD 10Y spread of +25bp over UST (C-08) applied to the live UST 10Y of 4.68% (~4.93%), and disclose it explicitly as a construction. Do not present it as an observed yield.
ADNOC Distribution effective tax rate — 9% vs 15% DMTT — The regime is established (federal 9% applies; upstream carve-out does not cover downstream retail; 15% DMTT applies to groups above EUR 750m consolidated revenue, which ADNOC Group clearly exceeds)….	flagged before issue candidate. Read the tax note and any DMTT disclosure from the audited FY2025 statements and H1-2026 interims before fixing the forecast tax rate. Treat 9% vs 15% as a dual-framing candidate if the filings…
Complete 2025 monthly UAE retail fuel price series — Only five 2025 months were located (Feb, Mar, May, Sep, Dec) plus the annual range (Special 95 AED 2.46-2.77). The full 2026 monthly series WAS obtained but from a compiled tracker, not the Ministry of…	Complete the 2025 series and spot-check the 2026 series against the monthly UAE Fuel Price Committee announcements before fixing the price driver. The April-May 2026 diesel figure of AED 4.69 in particular sits far above the…
45 fils/litre minimum margin — primary confirmation — The ~45 fils/litre guaranteed minimum margin under the ADNOC supply agreement is the single most consequential structural input in the study, and it was sourced from secondary reporting of an ADX filing…	Confirm the minimum margin, the mechanism, its duration and its renewal terms directly from the related-party / supply-agreement disclosure in the annual report before it is used as a driver.
ADNOC Distribution's own debt stack, LC/FX split and marginal rate — No ADNOC Distribution-specific bond or sukuk was located. Loan-facility reporting dates from 2022. Only the parent's ADNOC Murban sukuk (4.75%, +60bp over UST, May-2025) is available as…	Under this study’s source rules, read the full balance-sheet debt from the filings and split local-currency versus foreign-currency tranches. Build Kd marginal and in AED, above the 4.48% sovereign.
2026 UAE competitor station counts and EV share of new sales — ENOC (198, 2024) and Emarat (~100, undated) station counts are stale; no 2026 update found. UAE EV share of new car sales is a 2023 vintage (13%); no 2025 or 2026 figure found. UAE vehicle parc…	Flag as noted limitations in the list of risks. None is individually load-bearing, but the volume driver should not lean on the stale parc figure without the reconciliation described in C-04.
Jio-bp and Puma Energy — not listed — Jio-bp is an unlisted Reliance (51%) / BP (49%) joint venture; the 2026 Reliance IPO in the pipeline is Jio Platforms, the telecom entity, not Jio-bp. Puma Energy is Trafigura-controlled and not listed on a public equity…	Recorded as a negative result. Neither enters the peer table. Seven usable listed peers were obtained without them.

EIA STEO PDF not machine-readable — https://www.eia.gov/outlooks/steo/pdf/steo_full.pdf returned binary PDF content that could not be parsed, and the STEO prices HTML page returned no data. Brent/WTI forecast figures were taken from EIA-sourced secondary…	Re-verify the 4Q26 USD 70 and 2027 USD 65 Brent forecasts against the STEO tables directly before using them as the price-path driver.
IMF 2026 Article IV for the UAE — Only the 2025 Article IV (October 2025) was located. The 2026-2027 GDP forecasts therefore predate the 2026 oil shock entirely.	Flag the vintage wherever the GDP forecast is cited. Do not present pre-shock 2026 forecasts as current.

Table 38 — the negative results: 10 things that were looked for and either could not be obtained or contradicted a better source. They are published because a research record that lists only successes tells a reader nothing about how hard the gaps were pushed.

The company's own documents used to construct every historical figure in this study, all obtained from its own investor-relations channel: the audited consolidated financial statements for the years ended 31 December 2023, 2024 and 2025, each with the auditor's report and full notes; the reviewed condensed interim statements for the first and second quarters of 2026; the FY2025 management discussion and analysis and the second-quarter 2026 management discussion and analysis; the FY2025 and first- and second-quarter 2026 results presentations, which carry the volume, station-count, transaction and margin-per-litre disclosures no financial statement contains; and the 2025 integrated report.

Appendix C — three experts, three methods

Three analysts with genuinely different methods were asked the same question about the same company. They are labelled Expert 1, 2 and 3. Each states a worldview, says when the method works and when it fails, shows the whole working rather than an answer, names the one sensitivity that matters most, and states in advance what would prove them wrong.

C.1 Expert 1 — the cash-flow analyst

Worldview: a company is worth the cash it will generate for whoever owns the capital, discounted at what that capital costs. Every other method is a shortcut to that number, and shortcuts are useful only when the full calculation is impossible.

When it works: for a business with a stable, forecastable operating model, a capital structure that is not about to change, and a driver that can be counted. All three hold here — litres are counted, the margin per litre is disclosed, and the balance sheet carries AED 2,985 million of net debt against AED 50,875 million of market value. When it fails: when most of the value sits beyond the explicit forecast. That is the case here, at 74.9%, and this expert concedes it before being asked.

Working — Frame A	AED million
Free cash flow to the firm, FY2026	4,368
Free cash flow to the firm, FY2027	3,598
Free cash flow to the firm, FY2028	3,790
Free cash flow to the firm, FY2029	4,009
Free cash flow to the firm, FY2030	4,228
Present value of the five years at 7.44% rising to 7.44%	16,201
Terminal NOPAT	4,364
Less terminal reinvestment at growth ÷ return on capital = 1.5% ÷ 25% = 6.0%	(262)
Terminal free cash flow	4,102
Divided by (7.44% − 1.5%) = 5.94%	**69,082**
Discounted back at the terminal-year factor	48,260
ENTERPRISE VALUE	64,461

Less net debt, leases and minorities	**(4,662)**
Equity value	**59,799**
VALUE PER SHARE (AED)	4.78
The same working on Frame B (AED)	5.10

Named sensitivity: the terminal discount rate, and it is not close. Every fifty basis points on it is worth roughly AED 0.36 a share — moving from 7.44% to 8.44% takes the answer from AED 4.78 to AED 4.12, below the traded price. At 74.9% terminal weight this expert is mostly forecasting one number, and says so.

Falsifier, stated in advance: "If total fuel volume in FY2027 comes in below 15,432 million litres — three per cent below my forecast of 15,909 million — then the volume path underneath my whole build is wrong, and so is the terminal that grows out of it. I would not adjust; I would rebuild."

C.2 Expert 2 — the asset-and-return analyst

Worldview: forecasts are opinions and the balance sheet is a fact. Start from what the company owns, ask what return it earns on it, and pay the multiple of book that the return justifies. Never pay for growth that has not yet been earned.

When it works: for asset-heavy businesses in markets where forecasting is genuinely hard — and a network of 1,045 service stations on freehold and leasehold land is as asset-heavy as retail gets. When it fails: when the equity base is small relative to the earnings it supports, which makes the return look extraordinary and the justified multiple explosive. That is exactly the condition here, and it is why this expert's number should be read as a floor rather than a valuation.

Working	Value
Equity attributable to shareholders (AED m)	3,230
Shares in issue (millions)	12,500
Book value per share (AED)	0.26
Return on equity, FY2023	74.9%
Return on equity, FY2024	80.9%
Return on equity, FY2025	86.5%
Sustainable return — the three-year mean	80.8%
Cost of equity	7.60%
Long-run growth	1.5%
Numerator: return less growth	79.27%
Denominator: cost of equity less growth	6.10%
Justified multiple of book	13.0x
VALUE PER SHARE (AED)	**3.36**
Cross-check: return on capital employed, FY2025	**54.4%**
Cross-check: the traded price as a multiple of book	15.7x

Named sensitivity: the sustainable return. If it settles at the FY2023 reading of 74.9% rather than the three-year mean of 80.8%, the justified multiple falls from 13.0 to 12.0 times and the value from AED 3.36 to AED 3.11 a share — below the traded price. This lens is extremely sensitive to a number that has moved 11.6% across three years.

Falsifier: "If book equity per share rises above AED 0.52 — double today's — because the board retains earnings instead of distributing them, my return collapses arithmetically on an unchanged business and my method is measuring payout policy rather than performance. I would abandon the lens rather than defend it."

This expert adds one point the others miss. Return on capital employed — 54.4% in FY2025, rising in each of the three audited years — is immune to the payout objection, and it says this is a genuinely exceptional business earning roughly 7 times its cost of capital on the capital it actually employs. That is an argument for paying up. This expert declines to make it, because the method is a discipline against exactly that kind of reasoning.

C.3 Expert 3 — the market-implied analyst

Worldview: do not ask what a company is worth. Ask what the traded price already assumes, and then judge whether those assumptions are reasonable. It produces no independent value and is not meant to. It is a discipline against arguing with a price.

When it works: when a price and a model disagree and the question is which assumption is carrying the disagreement. When it fails: it can never tell a reader that a price is wrong — only what a reader is being asked to believe. It is also entirely dependent on the model it inverts: if the 74.9% terminal weight is a bad way to model this business, inverting it produces a precise answer to a badly posed question.

What the traded price requires	Value
Market price (AED)	4.07
Value from the cash-flow model, Frame A (AED)	4.78
Gap to be explained (AED a share)	0.71
Equity value of that gap (AED m)	8,924
EXPLANATION 1 — terminal growth. The model assumes	1.50%
the price requires	**-0.26%**
which in the first year is a volume loss of	28m litres
or, at the disclosed litres per transaction, fewer fills per year	0.5m
EXPLANATION 2 — the terminal discount rate. The model assumes	7.44%
the price requires	**8.53%**
EXPLANATION 3 — beta. The model assumes	0.65
the price requires	**0.86**
against the regression's own 90% upper bound of	0.79
Value if any ONE of the three is true (AED)	4.07

Named sensitivity: which explanation is chosen. They are not equivalent. The implied beta of 0.86 sits ABOVE the 90% upper bound of the regression, 0.79, so on the evidence available it is the least likely of the three. The implied terminal discount rate of 8.53% requires either that beta or a materially higher equity risk premium than the source file publishes. The implied growth rate is the only one of the three that is neither contradicted by the data nor dependent on a disputed premium — which is why this expert treats it as the operative explanation and why it is the study's crux.

Falsifier: "If total fuel volume grows at more than one per cent a year for three consecutive years from here — the company reported 5,376 million litres of retail volume in the first half of 2026 against 5,324 million a year earlier — then the market's implied permanent volume decline is refuted by observation and I would say the price, not the model, is the thing that needs explaining."

C.4 Cross-examination

Challenge	Conceded or rejected
Expert 2 to Expert 1: "Three-quarters of your value is a perpetuity. You are not forecasting cash flow, you are forecasting one growth rate and one discount rate."	CONCEDED, without qualification. Expert 1 accepts that 74.9% terminal weight makes this mostly a terminal valuation and points to the published grid as the only honest response: across the plausible combinations of terminal cost of capital and growth the answer runs AED 3.81 to AED 6.73, and the whole of that range is published including the corner below the traded price.
Expert 1 to Expert 2: "Your justified multiple is 15 times book because book is artificially small. Pay out everything and any business looks like this."	REJECTED, with a concession attached. Expert 2 answers that book equity is book equity and a valuation method does not get to imagine a different balance sheet — but concedes the lens carries the lowest weight in the study for precisely this reason, and that return on capital employed of 54.4% is the cleaner statistic. Expert 2 declines to switch to it, because the lens is meant to be a floor.
Expert 3 to Experts 1 and 2: "You have both produced numbers above the market price and neither of you can say why the market is wrong."	CONCEDED, and it is the point of having Expert 3 in the room. Neither method contains a view about long-run fuel demand beyond the terminal growth rate each assumes. Expert 3's contribution is to convert that assumption into an observable quantity — 0.5 million fewer fills a year — that a reader can check against the company's own volume disclosure each quarter.
Expert 2 to Expert 3: "Your inversion assumes the whole gap is terminal growth. It could be the discount rate, or a liquidity discount on a share with a twenty-three per cent free float."	CONCEDED IN PART. Expert 3 agrees the attribution is a choice and publishes all three inversions rather than one. On the free-float point Expert 3 goes further and concedes it is not tested anywhere in this study: a controlling shareholder holding roughly 77% of the equity is a real reason a share might trade below a computed value, and no lens here prices it.
Expert 1 to Expert 3: "You invert MY model. If my terminal structure is wrong, your implied growth rate is a precise answer to the wrong question."	CONCEDED ENTIRELY. Expert 3 accepts the inversion inherits every structural assumption of the model it inverts, and that this is the method's deepest limitation rather than a detail. The defence offered is narrow: the inversion is still the cheapest available test of whether the disagreement is about the next five years or the fifty after them, and it shows clearly that it is the latter.
Expert 3 to Expert 1: "Your Frame A and Frame B differ by AED 0.32 a share on a line that is not in the audited accounts at all."	CONCEDED, and the study is built around the concession. The inventory movement is a management disclosure with no reconciliation to the audited statements. That is why it is carried two ways, why neither frame is preferred, and why the two are never averaged into a single number that would hide the disagreement.
Expert 2 to Expert 1: "Your model has the company accumulating cash for five years while paying a flat dividend. That is not what management will do."	CONCEDED as a limitation, rejected as an error. Expert 1 agrees the model distributes only the policy dividend and lets the balance accumulate, and that in practice the board would raise the payout, buy something, or both. But free cash flow to the FIRM is what the valuation discounts, and it is indifferent to how the cash is subsequently split. The accumulation is a presentational consequence, not a valuation one.

Table 39 — every challenge, explicitly conceded or rejected. Four of the seven are conceded outright.

C.5 The three in one room

Put together, the disagreement narrows to one question, which is the useful outcome. All three agree on the audited history. All three agree the business earns an exceptional return on the capital it employs — 54.4% in FY2025 — and that the regulated margin with a parental floor beneath it is a genuine structural advantage rather than an accident of a good year. All three agree the FY2026 inventory windfall should not be capitalised. And all three produce a number ABOVE the traded price: AED 4.78 from Expert 1 on Frame A, AED 5.10 on Frame B, AED 3.36 from Expert 2 — the deliberate floor — against AED 4.07 in the market.

Where they part is what the long run holds. Expert 1 says the network grows with the vehicle parc and the shop, so 1.5% terminal growth. Expert 2 declines to forecast the long run at all and prices only the capital in place. Expert 3 says the market has already answered: -0.26%, a permanently shrinking volume base, which in observable units is roughly 0.5 million fewer fuel transactions every year. The room does not resolve it, and it should not: one side is forecasting and the other is inverting. What the room does is convert an argument about value into a quantity a reader can watch in the company's own quarterly volume disclosure.

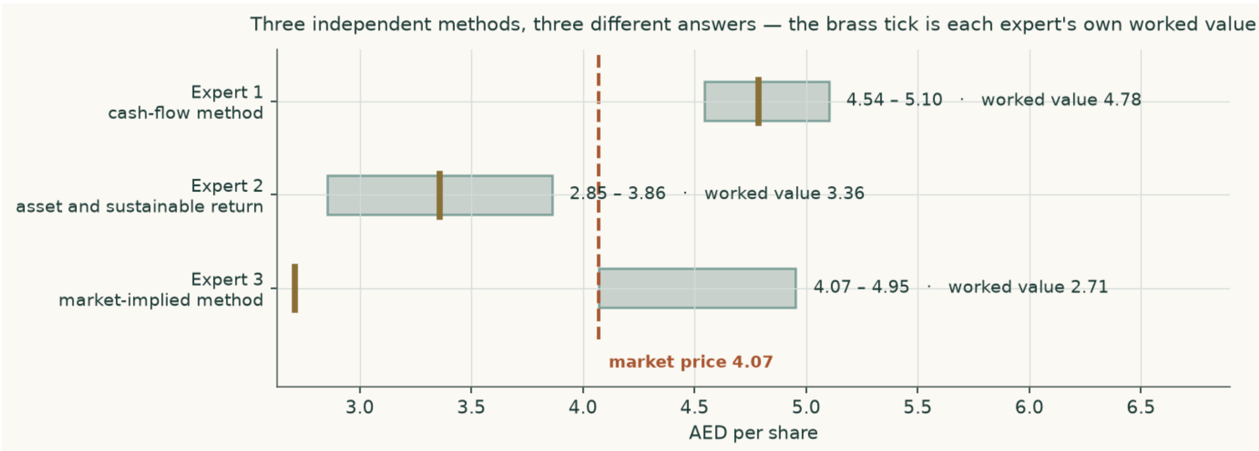

Figure 8 — three methods, three ranges, one traded price.

C.6 Divergence table — which assumption drives which gap

Pair	Gap (AED/share)	The single assumption that drives it
Expert 1 (Frame A) less Expert 2	1.43	whether five years of forecast growth plus a perpetuity are credited at all. Expert 1 discounts them; Expert 2 refuses to pay for growth not yet earned. Nothing about the business is in dispute
Expert 1 Frame A less Frame B	-0.32	the inventory judgement alone, and nothing else. AED 294 million a year carried in perpetuity against zero from FY2027. This is the number an average would have hidden
Expert 1 (Frame A) less the traded price	0.71	terminal growth: 1.50% against the -0.26% the price implies. The explicit five years contribute only 25.1% of the value, so they cannot carry this gap
Expert 2 less the traded price	-0.71	the sustainable return on equity of 80.8% against the cost of equity of 7.60%. At a sustainable return of 74.9% this gap closes entirely
Normalised earnings less Expert 1 (Frame A)	-0.77	the discount rate and nothing else: 7.44% held flat against a glide to 7.44%. The normalised reading credits NO growth and still lands higher
Dividend capitalisation less Expert 1 (Frame A)	-2.08	the difference between the cash the company distributes under a fixed policy and the cash the business generates. This is the gap that explains the traded price best of any in this table
Weighted centre A less weighted centre B	-0.17	the contested judgement carried through all four methods and their weights

Table 40 — every gap in this study isolated to the assumption that causes it. Read the third row and the sixth together: the model's disagreement with the market is entirely about the long run, and the market's price is almost exactly what the company's fixed dividend policy is worth.

About this study

This is an independent, educational valuation study. Every reported historical figure in it was constructed from the company's own audited consolidated financial statements for FY2023, FY2024 and FY2025 and its reviewed interim statements for the first and second quarters of

2026, together with its own management discussion and analysis, its results presentations and its integrated report — all obtained from the company's own investor-relations channel. No data vendor, broker note or press report was used as the source of any number about the company itself. External material was used only for the forecast drivers and the cost of capital, and every such item is listed in Appendix B with its value, its date and its source.

The forecast is built from the ground up: fuel is litres times margin per litre for each of the two disclosed fuel legs, non-fuel retail is revenue times its own disclosed gross margin, and gross margin is an output of that build rather than an input to it. The cost of capital is built bottom-up from the sovereign's own bond, the sovereign's own default spread, the country's own equity risk premium and a beta regressed from this share's own price history against its own local index. The balance sheet and cash flow are projected from the company's own disclosed working-capital days, and the balance sheet balances in every column.

The valuation model behind this document is a live formula model: every figure that can be derived from a driver is derived from it, and changing a driver reprices the valuation. The probability map in section 3 comes from a simulation calibrated across this market and tested by re-running it across the full price history without letting it see the future. Its performance on this individual share is reported honestly in section 3, including the finding that its three-month range is wider than this share warrants.

Disclosure

This document is educational analysis, not investment advice, and not a recommendation to buy, sell or hold any security. It contains no rating and no price target, and it never will: value is expressed here as a range and as a distribution, because that is what the evidence supports.

The author holds no position in the securities discussed and has no relationship with the company, its parent, its advisers or any party mentioned. No part of this study was commissioned, reviewed or approved by the company. Nothing in it should be read as a statement of fact about the future.

Figures are in AED unless stated otherwise. Historical figures are as filed and are not restated. Forecasts are the author's own and are wrong in ways that cannot be known in advance; the sensitivity tables, the two published frames of the contested judgement and the caveats in section 7 are the honest statement of how wrong they might be. Past performance is not a guide to future returns.